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BETTERINVESTING MAGAZINE

Investing for the Long Run

For a Solid Retirement Plan, You Need to Stay the Course (p. 40)

A Clean Sweep

Financial Housekeeping At the Close of the Year (p. 10)

The Crop to Cultivate

Why Growing Dividends Are Good for Investors (p. 34)

INTRODUCING

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The TJX Companies, Inc. **18**

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BetterInvesting *Online*

BetterInvesting members have the opportunity to expand their learning through online classes. Below is a selection of videos from the Video Learning Library on the BetterInvesting website that provide excellent learning opportunities. Be sure to visit the Video Learning Library to access over 100 webinar recordings on a variety of topics at **www.betterinvesting.org/vll**. To see a list of upcoming live webinars, like TickerTalk and StockUp, please visit our Events page at **www.betterinvesting.org/webinars**.

Investment Club Workshop: The Complete Guide to Portfolio Management for Investment Clubs

From the Oct. 13, 2022 Webinar
OnDemand Recording

Successful investment clubs know that it takes more than simply buying stocks to provide superior returns. You need to carefully manage your club portfolio, including such key tasks as establishing objectives for adequate diversification (and then working towards them), selling stocks when fundamentals dictate and monitoring your returns over time. This special Investment Club Workshop webinar will be led by Doug Gerlach of ICLUBcentral and his myICLUB.com team. This webinar is essential viewing for all new and existing club members.

What's New in BetterInvesting's Online Tools

From the Aug. 18, 2022 Webinar
OnDemand Recording

This fast-paced class provides an overview of the most recent changes to the CoreSSG, SSGPlus, Stock Comparison Guide and Portfolio Tools. New features include: Historical Data and Forecast Audit, import shared studies directly into a portfolio and Display Projected Average Return (PAR) on the Portfolio Summary Report. If time allows, we will cover frequently asked questions received by our support staff and take questions from the audience regarding the operation of the tools. Join us to stay informed and learn how to get the most out of the Online Tools! Suzi Artzberger, BetterInvesting's director of online stock tools, technology and data, leads this tutorial.

StockUp: Use PERT to Perk Up Your Portfolio

From the June 16, 2022 Webinar
OnDemand Recording

To be a successful investor, you must watch the companies you own for early warning signals that problems are developing. The Portfolio Evaluation Review Technique (PERT) allows you to quickly assess the performance of all of your stocks and determine which ones need additional study. Join us for an overview of the PERT report and learn how to read and interpret the data presented in this helpful portfolio tool. Instructors: Suzi Artzberger, director of online stock tools, technology and data, BetterInvesting; and Ann Cuneaz, senior manager of education programs, BetterInvesting.

TickerTalk

From the May 26, 2022 Webinar
OnDemand Recording

Investing education in bite-size pieces is offered in every TickerTalk session to help you become a more confident, better investor. This month is all about the Stock Selection Guide (SSG). Topics include: Keeping the P/E in Perspective, presented by Ionnie McNeill, director, NAIC/Betterinvesting Board of Directors; Choosing a Low Price, presented by Ken Kavula, director, BetterInvesting's Mid-Michigan Chapter; The Visual Analysis Graph — Reading Between the Lines, presented by Ann Cuneaz, senior manager of education, BetterInvesting. In addition, we offer a few stock ideas that merit a closer look in **Five in Five.**

Rather Than Rely on a Ratings Provider, You Might Make Your Own Choices

Just How Good Is ESG for the Investor?

Not too long ago, in a simpler time, choosing an equity was a matter of analyzing a company's ability to grow earnings and revenue and figuring out if its shares were trading at an attractive price, thereby offering a reasonable chance for return. Today the picture is more complex. The investment world has discovered — or one might say, invented — ESG, a dynamic that purports to give investors the chance to do good and do well simultaneously.

Does the company whose shares you are about to purchase pollute the atmosphere? Does it discriminate against women by paying them less than men with identical credentials and responsibilities? Is the board of directors focused on the company's long-term sustainability in the face of legal and environmental challenges from government and non-governmental organizations? Environmental, Social and Governance (ESG) factors lately are all the rage with companies and the top investment management firms. Its proponents see an opportunity to, among other things, exploit and monetize broad opposition to certain industries — fossil fuel, for example — by issuing ratings and seals of approval that inform investors which specific companies are doing right and doing wrong, at least in the opinion of the raters.

A global oil exploration firm may decide it's the better part of valor to invest in emission-free hydrogen technology to secure a better rating or perhaps it believes that one day governments (as recently happened in California) may outlaw gasoline-powered vehicles. Does diversification make sense for the shareholder who bought a stake on the bet of rising oil prices and the world's growing need for energy? The skyrocketing value of assets managed in so-called ESG funds, and the corresponding proliferation of ratings agencies and consultants, have produced a key insight into a major weakness of the methodology's core premise.

Namely, raters tend to disagree which funds and companies have high and low ESG ratings. Harvard's law school forum on corporate governance in August concluded "while ESG ratings providers may convey important insights into the nonfinancial impact of companies, significant shortcomings exist in their objectives, methodologies, and incentives which detract from the informativeness of their assessments."

Sure, you the individual investor may decide you wish to avoid companies that sell cigarettes or provide research to arms makers. You may likewise be attracted to solar power manufacturers or repelled by countries where human rights are abused. No selection strategy based on ESG factors has been found to assure a strong return on investment — and anyway you might accept a lower return in the name of a clear conscience. Paying attention to a company's so-called externalities, its nonfinancial impact on the world, is never a bad idea. Paying closer attention to a law-abiding company's earnings, revenue, dividends, share price and future prospects is an even better one.

Happy Thanksgiving to the BetterInvesting Community

Members like you are the heart of our community and integral to furthering our mission of educating individual investors and investment clubs to become successful lifelong investors. We are passionate about our mission because we know how much is at stake for you. As a nonprofit organization, we succeed every time your financial future becomes more secure. From all of us at NAIC/BetterInvesting, thank you for your membership, which allows us to continue offering outstanding investment education. We wish you and yours a Happy Thanksgiving filled with hope, joy and peace.

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Performance Parameter	At 8/31/2022	5-Year Change Annualized
BetterInvesting 100 Index (BIXX)	485.45	9.59%
BetterInvesting 100 Index (BIXR — Total Return)	685.49	11.09
S&P 500 Equal-Weight Index (Total Return)	10,846.74	10.77
Vanguard Total Stock Market (CRSP U.S. Total Market)	96.61	11.10
Dow Jones Industrial Average (DJIA)	31,510.43	9.88
S&P MidCap 400 Index	2,431.05	8.71
Russell 2000 (Small-Cap Index)	1,844.12	7.16
Nasdaq Composite	11,816.20	13.98
MSCI EAFE (Europe, Australasia, Far East) Index	1,840.50	0.95
MSCI Emerging Markets Index	994.11	1.78
Value Line Arithmetic Composite	8,609.52	9.51
Consumer Price Index (July)	296.17	8.30

Sources: Yahoo Finance, Value Line, Bureau of Labor Statistics, MSCI, Standard & Poor's, Solactive, Google, FTSE Russell

Most Active List

Here are the companies attracting the interest of the BetterInvesting community, according to about 2,030 transactions by users of myICLUB club accounting for the trailing eight weeks ended Sept. 7.

Company (Ticker)	Buys-Sells
1. Alphabet (GOOG)	256-24
2. Amazon (AMZN)	243-33
3. Apple (AAPL)	85-49
4. Microsoft (MSFT)	92-22
5. Nvidia (NVDA)	79-23
6. Disney (DIS)	45-30
7. Intel (INTC)	47-15
8. Tesla (TSLA)	44-10
9. Visa (V)	45-8
10. Ford (F)	43-10
11. Costco (COST)	42-10
12. Verizon (VZ)	35-14

This list is presented as a source of stock study ideas. No investment recommendation is intended.

Our thanks to ICLUBcentral for this information.

We maintain a Most Active List at BetterInvesting website's homepage, and a monthly list is published at: **www.myiclub.com**

Most Active List: Bubbling Under

Nos. 13-40 With Buy-Sell Ratio Over 2:1
Transactions for trailing eight weeks ended Sept. 7.

Company	Ticker	Buys	Sells	Total
Adv. Micro Devices	AMD	36	4	40
Home Depot	HD	28	8	36
Walmart	WMT	22	10	32
Qualcomm	QCOM	29	2	31
Taiwan Semiconductor	TSM	21	7	28
Procter & Gamble	PG	22	4	26
Meta Platforms	META	20	6	26
Starbucks	SBUX	20	6	26
Lowe's Companies	LOW	19	7	26
Adobe	ADBE	18	8	26
Devon Energy	DVN	18	8	26
Shopify	SHOP	18	8	26
Berkshire Hathaway	BRK.B	20	4	24
Target	TGT	18	6	24
JPMorgan Chase	JPM	16	8	24
Boeing	BA	14	7	21
Skyworks Solutions	SWKS	14	7	21
Generac Holdings	GNRC	19	1	20
NextEra Energy	NEE	16	4	20
Dollar General	DG	14	6	20
Invesco QQQ Trust	QQQ	14	6	20
Exxon Mobil	XOM	11	6	19
Johnson & Johnson	JNJ	14	4	18
McDonald's	MCD	13	5	18
Micron Technology	MU	13	5	18
AT&T	T	14	3	17
PepsiCo	PEP	12	5	17
Merck & Co.	MRK	15	1	16

Source: myICLUB

With inflation raging and the Fed tamping it down, fears of recession and layoffs grow. For the stock market, those factors drive interest in companies providing staples such as food, household goods, hygiene and other items that consumers are reluctant to forego when budgets get tight. Among the consumer staple companies gaining attention of myICLUB accounting software users for the past eight weeks are PepsiCo, Procter & Gamble, Dollar General and Walmart. But makers of discretionary items aren't bereft: Starbucks remains a favorite, as does McDonald's.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer in his personal portfolio.

Tax Credits Can Help Make Your Home More Environmentally Friendly

Green Savings

by Natasha Gural

Going green at home has come a long way since the now ubiquitous slogan "reduce, reuse, recycle" was born after Congress passed the Resource Conservation and Recovery Act in 1976. More than a personal or political imperative, it's becoming a growing source of cost savings.

President Biden recently signed the Inflation Reduction Act of 2022 (IRA) which includes $369 billion for energy, security and climate change, the single largest climate investment in U.S. history.

Homeowners are incentivized to boost energy efficiency through significant tax credits or direct rebates for solar energy, water heaters, electrifying vehicles and heating systems, and converting to renewable energy. It may sound daunting, but there are easy ways to start saving at home while taking a positive step to improving the environment for all.

> "Upgrading old appliances is one of the best ways to make your home more eco-friendly, while saving money on your utility bills."

Last year, the average U.S. household spent $122 per month on electricity, with the average U.S. resident consuming 892 kilowatt-hours per month, according to the U.S. Energy Information Administration (EIA).

Where to Start

"Upgrading old appliances is one of the best ways to make your home more eco-friendly while saving money on your utility bills," Mallory Micetich, a home expert at Angi, told *BetterInvesting Magazine* in an email interview. Replacing existing appliances with ENERGY STAR certified products can slash your energy bill by between 10% and 50%, Micetich said. That will shave off between $146.40 and $732 annually.

"Your exact savings will depend on which appliances you upgrade," Micetich said. "For example, a new energy-efficient washing machine can cut back on the appliance's energy usage by 33%. If you're looking to get the most energy savings by upgrading a single appliance, consider upgrading an appliance that uses a significant amount of energy, like your HVAC system or water heater."

If you live in a mild to moderate climate, installing a heat pump can halve your energy bills, an average yearly savings of $732, Micetich said.

The cost of adding solar panels to your home varies wildly by location, but the long-term savings should pay off in most places. Benefits include increased property value, reduced home energy costs, energy independence and a lighter carbon footprint. Drawbacks include inefficiency during poor weather conditions, ample roof space and an initial investment.

After solar tax credits, the cost for a solar panel system on an average-size house in the U.S. ranges from $11,144 to $14,696, according to EnergySage. The trend is quickly expanding, with more U.S. households buying solar panels every year, according to the EIA's 2021 Annual Solar Photovoltaic Module Shipments Report.

"While adding solar panels to your home can be a large upfront investment, you can expect to save $600 a year on energy bills after the installation," Micetich said. "Solar panels usually last for 25 to 30 years, so in that time you'll save between $20,000 to $50,000, depending on the size of your home and your typical power usage."

Getting the Work Done

As with any project, do your research before hiring a contractor. Those "who describe themselves as 'green contractors' usually have some sort of eco-friendly certification, but there is no universal green certification," Micetich warned.

Look for these certifications: Green Plumbers USA membership, National Association of the Remodeling Industry (NARI), EPA, LEED-certified products, GREENGUARD; use products labeled ENERGY STAR and carbon-free; and choose contractors who participate in sustainable nonprofits, such as the National Association of Home Builders, the Wildlife Habitat Council or Carbonfund.org, Micetich advised.

"While labor costs for eco-friendly products may be the same as traditional products, your project will likely be more expensive due to the higher cost of materials," Micetich said. "Talk to your contractor about your budget and any monetary concerns before you get started."

There's no doubt that embracing green practices in your home will become increasingly mandatory amid growing concern over environmental destruction. Start small, with products and projects that will also add more green for growing your personal stock portfolio.

Due Diligence

The Super-Strong U.S. Dollar May Prove Useful

Does the Fed Have the Tools to Fix Inflation?

by Thomas D. Saler

To a hammer, as the saying goes, everything looks like a nail. Nothing against hammers, of course, but that simple tool generally isn't sufficient to finish off a complex job. Which raises the possibility that the Federal Reserve, with only the hammer of monetary policy at its disposal, has an insufficiently diverse tool kit to finish the task of bringing inflation down from a four-decade high.

As economic hammers go, the monetary version is still capable of wielding considerable clout. By raising the federal funds rate at the extreme short end of the credit spectrum, longer-term interest rates like those on mortgages usually jump as well, thus slowing the all-important (and inflation-generating) housing market. The Fed also can force long term rates higher by not reinvesting the proceeds from bonds maturing in its nearly $3 trillion portfolio, a process known as quantitative tightening, or QT *(see Websites of Interest)*.

But while borrowing costs can have a direct (if delayed) impact on the demand for goods and services, those rates usually have little or no direct effect on the supply of those goods and services. Which, in a world economy still struggling to coexist with COVID-19 — and while dealing with the inflationary impact of Russia's war on Ukraine as well — is a major handicap in fighting rising prices. In fact, a recent study by the Federal Reserve Bank of San Francisco found that roughly half of the recent increase in consumer prices was the direct result of supply constraints (*see Page 36*). An analysis by the Federal Reserve Bank of New York put the contribution of supply-side issues to inflation at 40%.

Not that it would be of much comfort to American consumers, but foreign central banks also are struggling — with little success — to contain price rises. In August, the Bank of England projected that consumer inflation in the United Kingdom will average a mind-boggling 13% through 2023, despite the BOE having recently raised borrowing costs by the most in 40 years. A June report from the Pew Research Center found that in 37 of the 44 countries it studied, inflation during the first quarter of 2022 had at least doubled from two years earlier, and in 16 of those nations (including the United States) the rate had quadrupled.

Importantly, the Fed's hammer blows against domestic inflation also are being felt overseas. When U.S. interest rates are significantly higher than those in Europe and Japan — like now — money flows out of those areas and into the U.S., pushing up the value of the dollar. That, in turn, makes imports less expensive for American consumers while fueling inflation abroad and destabilizing foreign exchange markets, potentially triggering a debt crisis. Given current interest rate differentials and the dollar's "haven" currency status in times of distress, the buck has been one of the few solid performers in 2022.

The last time an ultra-strong dollar made major international waves was in the early 1980s, when sky-high U.S. interest rates caused a destabilizing trade imbalance between the U.S., Europe and Japan. To head-off protectionist legislation, representatives of the world's major economies met in New York in September 1985 and agreed to work together to depreciate the dollar in a historic agreement known as the Plaza Accord.

With U.S. inflation now running at close to double-digit rates, the Fed probably welcomes a strong dollar due to its inflation-dampening effects, modest as they may be. Investors can play dollar strength through an ETF that tracks the greenback's trade-weighted value (ticker: UUP). Though the dollar rally is probably in its later innings, until supply catches up with demand and the Fed puts down the monetary hammer, the normally sleepy foreign exchange market might offer conservative investors one of the better risk-reward profiles currently available.

In other words, be the hammer, not the nail. B

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Book Value

Authors Support Creating Outside Income Streams

Exit Strategy

by Angele McQuade

As the creators of the popular financial podcast and blog Rich and Regular and video series Money on the Table, Julien and Kiersten Saunders have for years taught their audience new ways of thinking about and managing their money. They've now curated and expanded that advice into "Cashing Out: Win the Wealth Game by Walking Away."

Central to their teachings is the idea that playing by the rules of today's corporate culture, especially if you're Black, will only get you halfway to financial freedom.

For the Saunders, making it to the finish line means making plans to walk away completely and focus on accumulating wealth in other ways. "Standard financial advice," they say, "doesn't acknowledge the other factors that play a huge role in how so many of us earn money," including statistically demonstrated corporate wage and promotion gaps between Black and white peers.

The Saunders teach through stories, especially their own. "Our very first conversation about money led to our very first argument and ultimately a breakup," they share. To reunite, they needed to discuss their very different financial upbringings to find common ground. This led to discovering the FIRE (Financial Independence, Retire Early) movement, paying off $200,000 in debt, and ultimately recognizing their corporate careers alone wouldn't lead them to the financial future they desired. "There are simply too many structural and systemic barriers to believe working hard at a job will net anything beyond unpaid overtime," they say, a belief that inspired their plan to cash out of their own jobs entirely.

What I liked: their "Fifteen Year Career" strategy, with phases devoted to paying off debt, creating income streams outside your primary job and then building an escape hatch away from that job. Even if you decide partway through that cashing out isn't for you, the authors say, you'll still end up in better financial shape because of your early efforts.

"Cashing Out: Win the Wealth Game by Walking Away," *Julien and Kiersten Saunders, Portfolio/Penguin (2022), paperback, hardcover ($25) and ebook, 262 pages.*

What I loved: the focus on finding community to share your struggles and success with, and the importance of spending time (online or in person) with people who look like you or share similar backgrounds, and who are also working toward the same financial goals.

What makes "Cashing Out" worth buying: the very idea of cashing out. "The path forward isn't by working harder on the job," the authors say, but instead by "walking away from uninspiring work, acknowledging the legacy of broken institutionalized promises, and taking control of your own financial future." For them, cashing out by achieving financial independence has meant more time to do what they love, safety from corporate change at their former jobs and freedom from burnout, among other benefits.

Read "Cashing Out" if: you've been searching for advice from authors who understand that not every journey to financial success takes the same path, or even starts from the same place. Julien and Kiersten Saunders have not only created a map for this new type of journey, they're also eagerly stretching their hands back to help you get started on yours.

Websites of Interest

About the authors

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Angele McQuade has been BetterInvesting's Book Value columnist for over 20 years. She is the author of three books, including "Investment Clubs for Dummies" and BI's upcoming new youth investing handbook. She lives near Bethesda, Maryland, where she also writes picture books and novels for children. You can send her your own book recommendations through her website (angelemcquade.com).

Online Banks Tend to Offer Better Payouts for Account-Holders

Higher Interest Rates Soup Up Savings

by Matt Mondoux, CFA®, CFP®, CMT®

The Federal Reserve is raising rates, it's been one of the market stories of 2022 thus far. The effect on financial markets has been significant and generally not in a great way for most investors.

As markets get a grip with tighter financial conditions, there is one bright spot that emerges. That is the interest paid on high yield savings accounts. It's been a couple of years, but many high yield accounts are paying 2.0% (or more). The interest they pay is often tied closely to the federal funds rates, which have been increasing as the result of Federal Reserve action in 2022. If you're not using these accounts for cash holdings, you're likely leaving money on the table!

There is some give-and-take when it comes to opening a savings account paying over 2.0% interest. You're not going to be able to just walk into a local branch to open an account.

The attractive interest rates available are offered primarily by banks without a traditional brick-and-mortar presence. These "online banks," like their more traditional counterparts, offer FDIC (Federal Deposit Insurance Corporation) insurance on deposits and most have low to no fees within their savings options.

Recent trends in banking feature routine functions such as deposits and transfers now handled digitally. Given the likelihood you're doing more of your banking online out of convenience, the transition to open a savings account through an online bank is not as dramatic as one may assume.

Online banks are able to offer more competitive interest rates because they lack the traditional overhead associated with physical locations. While traditional banks have introduced online functionality through apps, their interest rates offered on savings remain stubbornly low.

An online savings account offers an opportunity to earn more on your savings. While a 2.0% interest rate may not seem exciting, it's far better to have your money compounding at 2.0% than 0.05%, all things being equal.

Take the following example (*see table at top right).* Column A represents a savings account earning 2.0% annually, while column B represents an account earning 0.05% annually. The differences at the end of five years are significant. With initial investments of $10,000, it's the account earning 2.0% interest annually that has accumulated over $1,000 more. Furthermore, the total return over the five-year period of column A and B is 10.4% and 0.25% respectively.

The Impact of a Higher Interest Rate On a Savings Account Over 5 Years

Initial Investment	Col. A: $10,000 at 2% interest per year	Col. B.: $10,000 at 0.05% interest per year
Year 1	$10,200	$10,005
Year 2	10,404	10,010
Year 3	10,612	10,015
Year 4	10,824	10,020
Year 5	11,041	10,025

> **"While traditional banks have introduced online functionality, their interest rates offered on savings remain stubbornly low."**

While the analysis proves out the monetary value of earning a higher rate on savings deposits, it can still make sense for some people to maintain a checking account at a traditional retail bank. Access to branches, service staff and ATMs still provide value. However, if you're maintaining a high cash balance in a savings account, it's time to get that money working for you.

A simple internet search of high-yield savings accounts will present many options, some offered by financial institutions that you're likely already familiar with. Take your time to compare and contrast the various account features being offered to find the best institution for you.

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From Balancing Your Checkbook to Monitoring Cloud Files, It's Worth the Work

Year-End Financial Housekeeping

by Alexandra Armstrong, CFP®, CRPC®, and Christopher Rivers, CFP®, CRPC®

One of the most common New Year's resolutions is to "be more organized." While many of us get off on the right foot in January, by year-end some of these resolutions have fallen by the wayside. As we head into the holiday season, we think it's a good time to do some financial decluttering and organizing. This will make sure nothing slips through the cracks at year-end and help you make a good start in 2023.

Review Your Portfolio With Your Financial Adviser

Schedule a meeting to review your portfolio with your adviser. The two primary topics should be a review of your asset allocation and a discussion of any moves that may reduce your taxes before year-end.

The purpose of reviewing your asset allocation is to make sure that a particular asset category hasn't gotten too large or too small during the year. Different investments grow at different rates and your allocation can diverge from your original plan if not reviewed regularly. If you don't have an adviser, figure out what percentage of your investments are in cash, fixed income, U.S. stocks, international stocks and any other investments (not including your home).

The appropriate asset allocation depends on your particular circumstances and risk tolerance, so it's important to know where you are in order to calibrate your allocation appropriately.

As for taxes, your adviser can tell you what long- and short-term gains you have taken for the year to date. Your adviser should also be able to tell you if any of your investments are expected to pay out taxable distributions (dividends or capital gains) by year-end. You may have investments with taxable losses that can be harvested to offset any gains. Even if you have no gains, up to $3,000 in realized losses can be used to offset ordinary income. You can also receive a summary of investment income earned year-to-date.

Check In With Your Accountant

For many, 2021 was a particularly high tax year, thanks in part to several years of significant investment gains. If you pay estimated taxes, your payments are based on your 2021 income, which might have been higher than normal. It is a good idea to check in with your accountant and confirm what you've earned and what you've paid in taxes thus far match up.

This includes the investment income noted above. If you're making estimated payments quarterly and 2022 income is lower than last year, you may be able to skip your last payment. Alternatively, if you've gotten a bonus or a raise that's larger than normal, this will ensure you've withheld or paid the proper amount to the Internal Revenue Service.

Update Your Records and Check Your Credit Report

In the past, one of our primary financial chores was balancing your checkbook.

If you write checks, that's still important, though most expenses these days are paid electronically or with a credit card. Now is a good time to request the free credit report you are entitled to annually. Review it and make sure there are no delinquencies, unknown accounts or errors.

If you use an app or program to track expenses, such as Mint or Quicken, check that the data is up to date. Account links between apps often need to be refreshed. If you are diligent enough to categorize expenses, check that your data is in good order.

Declutter Your Files

Here again, times are changing. In the past a big question was how long to hold on to hard copies of statements, tax returns and other documents. While paperless delivery and PDF documents are common, it's still important to understand which documents you need to keep, and for how long.

Keep Basic Tax Returns and Forms for 7 Years

We recommend you keep federal and local tax returns for no less than three years after their filing date. This is the minimum time you should keep your tax records, as this is the general statute of limitations for being audited by the IRS. This is also the period during which you can file an amended return to claim a tax credit or deduction that you may have missed or to report income that was previously misstated or overlooked.

If the IRS suspects your income was understated by 25% or more, however, the statute of limitations for an audit extends to six years. If you have bad debts or securities that became worthless, the IRS gives you seven years to claim the loss. Bottom line: We recommend you keep income tax returns and the records used to prepare them for at least seven years after they were filed.

Keep Certain Tax Records Indefinitely

One tax form you should keep longer than seven years is Form 8606, which is filed if you ever made nondeductible contributions to an individual retirement account. The IRS requires you to keep copies of forms

8606, 1099-R and 5498 until all the money is withdrawn from your IRA accounts.

While brokerages are required to track cost basis information, if you own a stock directly through the company, or have older investments and have reinvested the dividends into additional shares, you should keep all the annual statements showing these reinvestments. Since the amounts you reinvested add to the cost basis of your investment for tax purposes, a higher cost means less taxable gain when you sell.

W-2 Statements and Social Security Benefits

If you haven't already done so, go to the Social Security website (**https://www.ssa.gov/myaccount/**) and create an account for yourself to get a statement of your benefits. We would suggest you check this annually to make sure it is accurate.

You should keep W-2 statements that report your compensation until you begin receiving Social Security benefits. This way you can check them against your Social Security earnings history. If the Social Security Administration has recorded your earnings incorrectly, and if you have your W-2 statements, you'll be able to get Social Security to correct its records.

Other Financial Statements

Credit card statements that show expenses you deducted on a tax return should be kept at least seven years unless you have another way to prove you paid those expenses. Otherwise, if there are no disputes about the charges, there's no need to keep these statements beyond the current year.

You should keep bills and receipts for tax items for at least seven years. Receipts for the purchases of valuables should be kept as long as you own the item, since they might be needed for an insurance claim if the item is ever lost or damaged. You can throw out receipts for non-tax-related items you've charged as soon as you confirm the correct amounts are shown on your credit card statement.

"You should keep W-2 statements that report your compensation until you begin receiving Social Security."

You can discard policies for auto and homeowner's insurance once the policy has expired. Note that you probably don't receive the actual policy document itself every year, just the new proof of coverage each time the policy is renewed. Make sure you save the policy itself as long as it's in effect and retain proof of your current coverage. Proof of coverage for prior policy periods can safely be discarded.

You should keep the settlement documents from the purchase of your home indefinitely. In addition you should keep receipts of all home-improvement expenses. Home maintenance such as repainting doesn't count, but modernizing your kitchen or bathroom does. You not only need the credit card receipts, but you also should have a description of the work performed. If you redo your kitchen, you probably have architectural drawings and an itemized list of expenses. All these records should be kept so that when you sell your home, you can add these to your tax cost and can substantiate these expenses.

If you've filed gift tax returns, they should be kept forever.

Make Sure Your Records Are Safe

If you do keep paper copies of information, we suggest you put these records in a fireproof cabinet. We recommend having a file for each year's tax return with supporting documentation filed in chronological order. You should have a separate file for each insurance policy as well as credit card statements, home improvement documentation and receipts for valuables purchased.

Today, many people keep electronic copies of documents. If you do, it's important to have a data backup system, in the cloud and/or on a separate hard drive, and use it frequently. Additionally, all sensitive information should be password-protected so that if your computer is stolen or your account is hacked, your financial data isn't easily available. When it comes to hard copies, make sure you shred the documents when you dispose of them.

Conclusion

Although it takes some effort to stay organized, it's worthwhile, especially if your tax return is audited, you have an insurance claim or sell your home. This way you will be sure nothing slips through the cracks at year-end and you'll start 2023 in good order. A little proactive effort now will keep you from scrambling later!

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Founded in 1996, California Club Aims to WOW

Pizza Topped With an Investment Club

by Daniel J. Boyle, CFA®

Most of us like a good pizza pie. Working on Wealth (WOW) got started when three friends got together to partake of this delicious treat at Round Table Pizza in Salinas, California. Between bites they discussed the success of the Beardstown Ladies and decided that forming a club would be a great way to learn about investing. In 1996, WOW was born.

Over the years the club has evolved to keep up with the times. WOW targets 10-12 members with 11 today, including one founder. Recently the club revamped its partnership agreement to make changes for digital communications, voting and other procedures. The pandemic moved monthly meetings, typically the third Wednesday of every month at 5 p.m., online and the club found that members, particularly those at a distance, liked the flexibility.

Another change is the way that the club approaches education by splitting the meeting into two parts. The first hour or so focuses on club business, including buying and selling stocks, while the second is devoted to those members, particularly ones that recently joined, seeking training in BetterInvesting concepts such as finding stocks and putting together the Stock Selection Guide. Jim Aspden leads the way in these discussions and has been a tireless contributor to the club over the years.

I'd recommend, however, that WOW look into BetterInvesting resources that include a substantial library of online materials like various Stock Selection Guide programs and stock education like TickerTalk. These can be great resources for members to use between meetings, freeing up more time for club business.

The club has also evolved its portfolio management over the years. Typically, about 15 positions make up the portfolio, implying the weight of a single stock for diversification purposes is about 7% (**100%/15 = 6.7%**). SSGs for every holding are prepared to discuss, with Jim taking the lead, but recently the club has decided to carve out a small portion of its portfolio to learn about companies pursuing new markets, like electric vehicles, or situations that don't quite fit BetterInvesting philosophy, like spinoffs.

I'm not a huge fan of clubs deviating from BetterInvesting principles, particularly when examining today's bear market environment that is resulting in substantial losses for early-stage companies without earnings, but as long as the club is truly pursuing learning and is mindful of keeping the share of the portfolio for these "alterna-

Working on Wealth Investment Club

Company	Ticker	No. shares	Cost	Aug. 17, 2022 Price	Aug. 17, 2022 Value	Gain/ (loss)	%Gain/ (loss)	Quality rating*	% Growth estimate**	% of portfolio	Trailing P/E	Trailing EPS
Adobe	ADBE	46	$11,786	$ 437.82	$20,140	$ 8,354	70.9	1	14	5.6	43	$10.24
Advanced Micro Devices	AMD	80	8,227	98.27	7,862	(365)	(4.4)	3	25	2.2	41	2.38
Apple	AAPL	324	10,714	174.55	56,554	45,841	427.9	1	12	15.8	29	6.06
Boeing	BA	113	14,055	167.20	18,894	4,838	34.4	3	15	5.3	N/A	(8.95)
Cadence Design Systems	CDNS	7	999	191.00	1,337	338	33.8	2	17	0.4	68	2.79
Caterpillar	CAT	176	19,775	195.93	34,484	14,708	74.4	2	12	9.6	16	12.50
Costco Wholesale	COST	102	7,112	556.32	56,745	49,633	697.9	1	11	15.8	44	12.70
Fastenal	FAST	250	8,902	55.70	13,925	5,023	56.4	2	10	3.9	31	1.79
Home Depot	HD	92	7,843	325.76	29,970	22,127	282.1	1	10	8.4	20	16.27
Joby Aviation	JOBY	100	885	5.99	599	(286)	(32.3)	5	(12)	0.2	N/A	(0.39)
Microsoft	MSFT	161	6,741	291.32	46,903	40,161	595.8	1	15	13.1	30	9.64
Moderna	MRNA	50	3,441	158.00	7,900	4,459	129.6	4	(3)	2.2	5	32.81
Southwest Airlines	LUV	30	1,482	38.94	1,168	(314)	(21.2)	3	12	0.3	25	1.57
Starbucks	SBUX	234	6,599	88.35	20,674	14,075	213.3	1	10	5.8	25	3.55
Walmart	WMT	97	12,489	139.52	13,533	1,044	8.4	1	7	3.8	30	4.65
Zoetis	ZTS	139	4,266	172.46	23,972	19,706	461.9	2	11	6.7	39	4.41
Cash			3,800		3,800			1		1.1		
Average									10		32	
TOTAL			**$129,116**		**$358,348**	**$229,343**	**177.6**			**100**		

* Based largely on rankings published by Value Line.
** As estimated by the author, with data from Thomson Financial Network.
Note: Numbers in the table have been rounded.

tive" investments to no more than a position or two, say about 10%, it shouldn't be an issue. I'd recommend the club devote extra scrutiny to these "alternative" positions and maintain a written investment thesis that includes what the club is learning, an evaluation of management experience and milestones to measure the progress of the investment against club objectives.

Adobe, Advanced Micro Devices, Apple, Cadence Design Systems, Microsoft

Information technology is the largest sector for the club at five positions representing 37% of the portfolio. I've admired the ubiquitous document management company, **Adobe (ADBE)** for years. I rarely go a day without reading, downloading or printing a PDF, which stands for Portable Document Format. This level of dominance within desktop publishing and document sharing will be hard to replicate, providing a very solid investment "moat" around the business that keeps competitors at bay. For this reason, shares have carried a premium valuation as investors expect Adobe to continue getting the lion's share of market growth as more and more information becomes digitized.

But the company has endured some softness in revenue and earnings growth the past couple of quarters. Adobe enjoyed above average revenue growth in 2021 when compared to the slowdown the business endured during the pandemic in 2020, but this 2021 burst has created difficult growth comparisons during 2022. A strong dollar and ceasing operations in Russia and Belarus have also hurt revenue. Similarly, investments in research and development and building the sales force to target enterprise customers more broadly has been a drag on earnings. Coupled with the bear market for technology stocks, Adobe shares have fallen from almost $700, but valuation remains expensive at a trailing 12-month price-earnings ratio of 43, too rich for me to suggest the club add to its 5.6% weight. But in this volatile market the club may get some opportunities to purchase more shares.

It used to be that **Advanced Micro Devices (AMD)** was a distant also-ran to **Intel**, the leader in microprocessors for the personal computer (PC) market. But that has recently changed under CEO Lisa Su who has guided the company into fast-growing markets for PC chip applications including data center servers, gaming consoles and cryptocurrency mining. Further, she is diversifying AMD into other forms of chips like those that specialize in driving graphics, competing with **Nvidia** and reprogrammable semiconductors via the acquisition of Xilinx.

Growth has been explosive since late 2019, aided by the outsized demand for computing devices in response to remote work and consumers spending more time at home. But recent results are slowing in the face of weakening demand for PCs as employees return to work and consumers move about more normally. Further, the shortage of chip capacity has hit AMD harder than rivals as the company does not own its own factories. In this environment it seems like a stretch to meet analyst annual earnings growth expectations of 25%, but AMD should continue to expand its 28% market share of the PC market against rival Intel.

Upon first glance shares look expensive at a P/E of 41, but when adjusting earnings per share for one-time items, acquisition amortization and employee stock option compensation the P/E looks more like 26, a P/E to growth ratio at the lower end of the 1.0-1.5 I like to pay for a growth stock. I'd recommend the club add to the 2.2% position.

It seems like I review **Apple (AAPL)** in every "Repair Shop" article I write. There is good reason for this as the company has been a steady growth engine for years by maintaining market leadership for its flagship iPhone, iPad and iMac products. CEO Tim Cook's strategy has been to expand its services businesses, capitalizing on its huge iPhone install base by selling subscriptions for music, television, payments and advertising. I'm a huge fan of this strategy as subscriptions are more predictable than one-time device purchases and carry higher profit margins that support earnings leverage. The company has also been using its substantial free cash flow to boost EPS by repurchasing stock, managing to reduce its share count by 35% over the past 10 years.

Analysts expect annual EPS growth of 12%, about right in my view, as the company can leverage single-digit revenue growth with operating income margin expansion and a lower share count. The P/E ratio of 29 isn't terribly expensive but I note it's above the average high P/E ratio of 25.4 on a recent SSG. The stock makes up almost 16% of the portfolio, likely garnering that high a weight from its fourfold appreciation since purchase. I'd recommend the club consider selling some Apple shares for better diversification and to generate cash to feed other opportunities.

Cadence Design Systems (CDNS) is a leader in software that creates integrated circuits and systems design and verification for the semiconductor industry. Growth has been great lately as the company expands its offerings to systems integrators and pursues new markets for chips such as artificial intelligence, autonomous vehicles and virtual reality. It also recently introduced a Software as a Service (SaaS) platform in partnership with Amazon Web Services (AWS) that will allow customers to utilize the software on the cloud, based on usage. This offering should help sign up customers who want to try out the software at a lower price point while also supporting remote office work. Analysts expect annual EPS growth of 17%, a nice growth clip, but I'm struggling to justify owning the stock as it carries a P/E ratio of 68. The P/E becomes a less expensive 49 when using trailing 12-month adjusted EPS from Value Line of $3.87, but this is still too rich.

Working on Wealth Investment Club. Top row, left to right: James (Jim) Aspden, Alejandro (Alex) Cota and Lisa Tegtmeier. Middle row, left to right: Christine (Chris) Duymich, Marzette Henderson and Holly Uchida. Bottom row, left to right: Linda Mendoza and Sandy James. Members not pictured: Brooks Lame and Martha Gonzalez.

At a 0.4% weight the presence of the stock in the portfolio isn't going to make much of an overall portfolio impact, but I'd likely sell anyway and wait for a better valuation.

The last IT holding is **Microsoft (MSFT)**. It isn't often that large companies get a second growth story like Microsoft has under CEO Satya Nadella. Under his leadership the company has embraced the cloud, moving into a wide variety of applications and services that support collaboration, data sharing and entertainment. The well-diversified firm's fastest growing service is Azure, the No. 2 player in the cloud data center outsourcing market led by AWS.

Not only is Azure experiencing rapid growth from commercial enterprise customers outsourcing their computing, but Azure is also taking market share as Microsoft leverages its deep experience working with these customers gained through its Windows and Office franchises. In addition to Azure, growth in Teams for collaborative software, LinkedIn for the employment market and gaming should average double digits for many years.

Gaming is set to get a boost from the $68.7 billion acquisition of Activision Blizzard. I note that the stock has done quite well for the club and, probably like Apple, has seen its weight grow to 13%, a level that makes sense for a trim.

Costco, Walmart

Two consumer staples stocks make up about 20% of the portfolio. **Costco (COST)** has done one of the best jobs as a retailer passing along price increases to consumers as it battles rising costs due to inflation. The price increases haven't hurt traffic as stores are now busier that before inflation hit, likely due to customers appreciating the savings they can get from buying in bulk. Costco is one of those retailers that seems to always navigate whatever challenges are sent their way.

But shares are expensive at a P/E of 44 when compared to annual earnings growth expectations of 11%. While one might conclude that analysts are underestimating future EPS growth, one check of the SSG reveals average EPS growth of 11.6% over the past 10 years. A 16% weight for an expensive, moderately growing company is too high and should be trimmed.

The other holding is **Walmart (WMT)**. Unlike Costco, Walmart is struggling with rising input costs due to inflation and its lower-income customers can't absorb price increases, hurting profitability. Further, the company is carrying too much inventory for goods that were popular during the pandemic and it now finds itself needing to discount further to move them.

While there is some potential growth for competing with **Amazon** in the e-commerce market, I've never been that impressed with the company as a growth stock when examining the SSG and noting that average annual sales growth for the past 10 years is a mere 2.2%. The club might challenge the position with **Academy Sports and Outdoors (ASO)** and **Boot Barn Holdings (BOOT)**.

Caterpillar, Fastenal, Joby Aviation, Southwest Airlines, Boeing

Five industrial stocks are spread across 19% of the portfolio. **Caterpillar (CAT)** is enjoying pent-up demand spurred by the pandemic but, like a lot of industrial firms, struggling with higher input costs and component shortages, particularly semiconductors. The demand outlook for the rest of the year looks reasonable and price increases will help profit margins, but past 2022 things might get rough as the cyclical construction market is very sensitive to interest rate increases being undertaken by global central banks. Even so, I think 12% annual earnings growth and a P/E of 16 are both reasonable for this high-quality company.

Fastenal (FAST) is the leader in helping industrial and construction customers gain access to the parts and supplies they need when they need them by stocking at the customer site in vending machines, as well as at retail store format locations.

This brings great value to customers as Fastenal often acts as their logistics supply chain. Solid and reliable, revenue growth is a bit faster than overall gross domestic product growth and the company gains economies of scale that support earnings leverage.

While the current P/E of 30 seems rich, the predictability of growth has supported the stock carrying an above market P/E. Further, I think the analyst consensus estimate of 10% for annual earnings growth is too low. If the U.S. economy turns down and shares become cheaper, I'd suggest the club add to its 4% position.

Joby Aviation (JOBY) is one of the "alternative" stocks the club has recently added. It's a pre-revenue company working on an electric aircraft that it can eventually utilize to provide transportation services. I'll reiterate what I said earlier in the article: Carefully follow the stock against its previously outlined investment objectives.

I'm not a huge fan of airlines, even one of the best like **Southwest Airlines (LUV)**. The industry itself is tough, combining cyclicality with high capital expenditures and volatile fuel costs. While the stock has gotten a boost from pent-up demand from consumers now free to travel, high oil prices, a tight labor market and the possibility of a U.S. economic slowdown are unappealing risks. This might be another holding in the "alternative" bucket as I note its weight is only 0.3%, but I'm not particularly interested in either the short-term or long-term story.

Boeing (BA) has endured setbacks. Management has finally gotten its 737-MAX safety issues addressed and the plane is back in production. But other planes like the wide-body 787 Dreamliner have suffered quality issues and the company has had to delay the launch of its 777-9 model. Further, the pandemic led to a sharp drop in demand for new aircraft. Competing against only one other substantial airline, **Airbus**, would seem to be easy but management can't seem to get its act together. I think the stock will work out fine in several years, but if the club finds a better opportunity it might be time to move on.

> **"Keeping the share of the portfolio for 'alternative' investments to no more than a position or two, say about 10%, shouldn't be an issue."**

Starbucks, The Home Depot

Starbucks (SBUX) and **The Home Depot (HD)** represent the consumer discretionary sector and 14% of the portfolio. Starbucks is my favorite coffee brand, but the chain has its set of problems. Rising input costs, including wage pressures caused by a tight labor market in the U.S, is eating into profit margins even though price increases are helping revenue. China's COVID-19 lockdowns continue to cause pain for the company. I think a P/E of 25 for 10% annual earnings growth is a bit stretched, but the company has had rough patches before, so I'd give the stock some time to see how things go.

The Home Depot (HD) performed exceptionally well during the past three years that included the volatile demand environment disrupted by the pandemic and supply issues revolving around significant inflation and shortages. The leading warehouse building supply and home improvement retailer should be able to sustain expected annual earnings growth of 10% and a P/E of 20 is about on par for the market.

Moderna, Zoetis

Two health care stocks make up 9% of the club's portfolio. For much of its history, **Moderna (MRNA)** was an early-stage clinical company working on a novel technology called Messenger RNA (mRNA) that transfers information stored in individuals' genes to their cells to produce proteins. The pandemic changed all that as mRNA technology formed the basis of a vaccine to help boost the body to fight off the COVID-19 virus. Revenue and earnings exploded, but the long-term outlook for COVID-19 vaccination is uncertain as the path of the virus will determine future needs. While there are vaccine candidates in the pipeline, the stock is too speculative for my tastes.

Zoetis (ZTS) focuses on all things for animals, from drugs to medical devices for both pets and livestock. The company puts up steady, consistent growth and even got a boost from the pandemic as people brought more pets into their lives. But annual expected EPS growth of 11% isn't enough to offset an expensive trailing P/E of 39.

The Working on Wealth Investment Club might want to look at **Align Technology (ALGN)** and **Vertex Pharmaceuticals (VRTX)** as possible challengers.

I note that the club doesn't have any representation from the financial sector. Some companies to study might include **FLEETCOR Technologies (FLT)**, **Visa (V)** and **Intercontinental Exchange (ICE)**.

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Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer in his personal portfolio or those of his clients.

Club Accounting

Help Includes Features for Voting, Education and Portfolio Management

myICLUB Is a Platform for All Club Operations

by Russell Malley, Club Accounting Adviser, ICLUBcentral

While the online precursor to myICLUB was mostly a club accounting service, myICLUB has evolved to be a multi-function club operations resource. Investment club accounting and tax preparation are still a part of myICLUB and probably the most recognized features of myICLUB. This article will cover some of the features of myICLUB that facilitate club operations.

Education of members is an important goal of most investment clubs. The myICLUB site helps this goal with several features. First is the Investment Club Hub section at the bottom of the home page of myICLUB. This section has five links to ICLUBcentral related websites offering information on investment club operations. A sixth link gives information on ICLUBcentral special offers to clubs. The Investment Club Hub is not the only education-related feature included on the myICLUB site.

The new Videos tab in the main horizontal menu bar of myICLUB opens a page with direct links to over three dozen recordings of ICLUBcentral webinars on topics related to club operations. A link to the ICLUBcentral YouTube channel is also available to access even more webinar recordings. (This was briefly discussed in my September 2022 *BetterInvesting Magazine* article.)

Does your club use specific websites for education or investment resources? The recently added Club Web Links section on the home page allows your administrator to add up to six customized links to websites of interest to the club.

Linking to BetterInvesting

Portfolio management is an important part of investment club operations. The myICLUB platform has multiple features to help with portfolio management. The Reports available from myICLUB include 11 related to portfolio management. There are also at least six graphs that can help with portfolio management. The ability to link the portfolio reports to the BetterInvesting Online SSG Tools also gives clubs the ability to include their own judgment in the portfolio reports. The Reports page also has a section for assigning members as StockWatchers and for all members to generate StockWatcher reports.

If the company in question has a linked Stock Selection Guide, club judgment will be included in this report also. The StockWatcher Assignments report also allows all members to track which member is responsible for tracking which company in the club portfolio. This can help spread the workload of the club. Your club can also track potential additions to the portfolio using the Watchlist feature. Six portfolio reports are available for Watch List companies using the Watchlist link in the main menu bar.

Preparing federal and state returns is also possible directly from myICLUB. ICLUBcentral is also an approved e-filing vendor for the Internal Revenue Service and multiple state tax authorities. IRS Form 1065 and the return for some states can be e-filed directly from myICLUB.

Club communications can be addressed in myICLUB. There is a Discussions link for email communication among members. In addition, there is a customizable Calendar feature. The calendar allows individual events or recurring events to be entered. Check boxes allow the calendar to display dates related to the club portfolio such as ex-dividend dates, stock split dates and dividend payment dates. ICLUBcentral related events can be added easily with the Global check box. Club operation webinars and events featuring ICLUBcentral speakers will be included when the Global check box is selected.

Transparency of club operations can be achieved with myICLUB also. The File Storage feature can be used to give club members access to agendas and minutes of past meetings. In addition, financial institution statements can be uploaded so members can easily check the accuracy of accounting entries. This makes the annual audit a bit easier. Other documents such as the club partnership agreement, bylaws/operating procedures and a club investment policy statement can be stored online for easy access by all members.

The Voting feature of myICLUB adds some more flexibility for clubs. Using this feature allows a club to take action between formal meetings and record voting results. This feature also allows for members in geographically dispersed areas to participate more easily in club operations. The Voting feature provides for different majority percentages to be selected as well as one-person-one-vote versus voting by percent ownership. Anonymous voting is also possible.

Stay Tuned for New Features

Remember, myICLUB is not just an accounting site. Take advantage of the full club operation features of myICLUB. Some of these features are not available anywhere else for investment clubs. Finally, be on the look out for new features. Some user suggested and internally generated ideas are percolating as I write this.

Club Confidential

BetterInvesting Principles Guide Decisions in Challenging Times

Young Club Member Gets a Lesson in Market Volatility

by Cindy Kelley, Production Coordinator, BetterInvesting

The market continues to be challenging. Especially to new, young investors. As I've mentioned before, we have quite a few new members mostly a bit younger and all facing their first down-cycle for the market. This has resulted in a lot of questions coming from these gals about how to proceed when volatility is the dominant trend. I wasn't surprised then when I received a call from one of these members about how to "rank" her company under our unique WARP ranking system.

As I'm sure is true with most clubs, we have a method for each member to give a snapshot view at each meeting of the companies watched. For us WARPed women, we maintain an Excel spreadsheet with pertinent details about the stock. Some of the items included on the sheet are current price, last month's price, current P/E, EPS, hold zone pricing, to name a few. Also included is a column for where the stock falls in terms of buy/hold/sell per the SSG and a column for our WARP rating, 1-5.

The WARP rating is our unique club scale: 1 = strong buy, 2 = buy, 3 = hold, 4 = sell, 5 = strong sell. Yes, this is much more subjective. The stockwatcher needs to make a judgment on where she thinks the stock falls within our scoring system. Since this is the person most familiar with the stock in question, it makes sense that she should identify the status of the company and share her recommendation with the rest of us.

The call I received was regarding this ranking system. The member was hesitant to identify her stock as a WARP 2 because the price has been falling and she wasn't at all confident about recommending the purchase of a stock under these conditions. Of course, we had a robust and fruitful conversation about why it's actually worthwhile! You know, the whole concept of buying a stock "on sale." With the caveat that this is only a good idea after reviewing the current health of the company on an updated SSG.

So that's what we did. We did a new SSG and looked at the highlights of the report and what it revealed. This was an exercise for assessing a stock we currently own, not an initial first study for a company under consideration. (The club does believe there is a difference between the two and I think it's important to relay this information. We are more critical and generally more conservative when reviewing for an initial purchase.)

First we looked at the graph on the front page of the report, seeing that both sales and earnings are still rising. The historic rates were very healthy and looked promising for continued growth. We used the analysts recommended growth rates for our judgment calls. We both felt they were reasonable and obtainable.

Next, we reviewed the management trends. Pretax profit has been a bit erratic, but stable. The percent earned on equity has been rising steadily for the last five years, a good sign. The study gave us no reason to be concerned. Both of us were encouraged about what the report was revealing here as well.

As you all probably guessed we then added our own judgments for setting the pricing zones. This is generally accepted as the most challenging part of the exercise because there is no hard and fast rule about how to decide on high and low prices into the future. Ultimately we used current P/E for setting high price and recent market low for setting low price. The current price rested squarely in the buy zone. The other markers we looked at were the upside/downside ratio and the price target appreciation rate. Both looked good; greater than 3 to 1 and higher than 100% respectively. The current P/E is also lower than the average. According to the club's SSG training, all are positive signs for potentially good growth into the future.

Which leads us back to the phone call and our discussion. The company we researched still demonstrates the potential for strong growth. The highlights of the updated SSG showed us that this is still a good prospect for additional investment. The fundamentals of the company are still strong. The indicators are all positive. There are no glaring red flags. The price drop is likely the result of market volatility and not an indication that the company is heading south. There is no reason for alarm and no good reason not to recommend the company for purchase based off the results of the SSG.

It was a fruitful phone call and illuminated for this young investor the reasons why it can oftentimes be worthwhile to purchase additional shares of a stock when the price is down. The volatility of the market can be a prime opportunity for purchasing additional shares of a stock you may not have been able to buy for some months (or even years?) because the price rose into the hold zone or beyond.

While the current market conditions may be frustrating and confusing, BetterInvesting principles guide us to continue to invest and take advantage of the silver linings that may emerge like lower stock prices for well-loved holdings and/or possible entrance points into stocks that have been out of reach, to point out just a couple. Go cautiously while conditions are this volatile but just keep going!

Competitors' Inventory Woes Remain a Boon for This Retailer

The TJX Companies, Inc.

Clothing and home fashion retail chains have faced multiple challenges throughout the pandemic. Concerned about catching COVID-19, shoppers stayed away. Worried about elevated inflation, consumers have become cautious about discretionary spending, redirecting their dollars to household essentials.

Missteps projecting consumer demand have caused vendor and retailer inventories to pile up. Also, supply chain backlogs have caused some clothing shiments to arrive late for their selling seasons.

In contrast, those inventory overhangs have become a boon for The TJX Companies., Inc. (ticker: TJX). The corporation specializes in off-price retailing; much of its stock consists of surplus merchandise purchased from other chains.

The inventory woes of other businesses have therefore allowed TJX to restock at bargain prices. The strong inventory availability has helped TJX maintain the popular "treasure hunt" atmosphere in stores that helps drive foot traffic and sales, noted members of the Editorial Advisory and Securities Review Committee

London Bridge. T.K. Maxx is the European and Australian version of T.J. Maxx, as seen in this store at the corner of London's Charing Cross Road.

The stock's $63.11 close reported Aug. 29 was 18.4% below the 52-week high of $77.35 recorded on Jan. 4. The stock underperformed the S&P 500, which over the same time frame decreased 16.4% to 4,030.61 from a Jan. 4 high of 4,818.62.

The stock's trailing 12-month price-earnings ratio was 28.8 (*see table)*; the ratio for the S&P 500 was 20.4.

CSIMarket, a financial data service, reported a TTM, second-quarter P/E ratio average for the retail apparel industry of 51.0. Based on figures Yahoo Finance reported, the P/E aver-age was 21.5 for TJX and three competitors named by Morningstar.

For P/E to projected growth, or PEG, Yahoo Finance reported a ratio of 1.7 for TJX, based on an average five-year expected earnings growth rate. A range of no more than 1.0 to 1.5 is generally considered desirable.

Editor's note: TJX defines the 12 months ended Jan. 29, 2022, as fiscal 2022. *BetterInvesting Magazine*'s online data page for the company and this article treat the period as fiscal 2021.

Corporate Weave

TJX stores carry off-price clothing for men, women and juniors, plus footwear, jewelry and other accessories. Home fashion offerings include lamps, rugs, wall decor, accent furniture, giftware, decorative accessories, home basics, seasonal merchandise and furniture for children. The company sells brand-name and designer merchandise at prices that are 20% to 60% below those typically seen in department and specialty stores.

TJX owns seven retail chains and was operating 4,689 stores worldwide in fiscal 2021, up 2.6% from 4,572 the year before. They included 3,321 stores in the United States. TJX had 546 stores in Canada and 763 in Europe and Australia. The company reportedly planned to add 170 stores worldwide in 2022, for a 3.6% increase.

Clothing, including footwear, accounted for 47% of 2021 net sales. Home fashions generated 38%, and jewelry and accessories produced 15%.

The company's largest unit is its Marmaxx segment, with 2,491 outlets in 2021. It consists primarily of T.J. Maxx and Marshalls, the two largest off-price clothing chains in the U.S. The T.J. Maxx store count was 1,284 at the end of 2021. Marshalls stores totaled 1,148. TJX launched T.J. Maxx in 1976 and acquired Marshalls in 1995. A third, smaller chain, Sierra, operated 59 locations featuring outdoor gear, sporting goods, home fashions, family apparel and footwear.

In 2021 the segment generated $29.5 billion in net sales, up 52.3% from 2020's $19.4 billion, reflecting recovery from the worst of the pandemic. The unit accounted for 60.7% of 2021 net sales.

The HomeGoods segment, operating two chains of home fashion stores, was operating 889 stores at the end of 2021: HomeGoods, with 850 outlets; and Homesense, with 39 locations.

The home fashion unit generated net sales of $9 billion in 2021, up 47.6% from $6.1 billion the year before. The 2021 result was 8.9% of total net sales.

TJX had its beginnings in New England Trading, a business that brothers Max and Morris Feldberg launched in Boston in 1919. They opened their first women's apparel store in 1929 and over the following 20 years built up a chain of East Coast outlets.

In 1956 cousins Stanley and Sumner Feldberg set out to expand the business their fathers had established. They launched their first Zayre discount department store in

The TJX Companies, Inc.

	2021 (ended 1/29/22)	2020 (ended 1/30/21)	% change	FY 2022 Q2	FY 2021 Q2	% change	FY 2022 year to date	FY 2021 year to date	% change
Net sales	$48.5 billion	$32.1 billion	51.1%	$11.8 billion	$12.1 billion	(1.9%)	$23.2 billion	$22.2 billion	4.9%
Net income*	$3.3 billion	$0.09 billion	3,761.3%	$809.3 million	$785.7 million	3.0%	$1.4 billion	$1.3 billion	5.9%
Diluted EPS*	$2.70	$0.07	3,757.1%	$0.69	$0.64	7.8%	$1.18	$1.08	9.3%
Declared dividends	$1.04	$0.26	300%	$0.295	$0.26	13.5%	—	—	—

Stock exchange	NYSE	Value Line long-term earnings growth estimate	21.0%
Ticker symbol	TJX	Consensus long-term earnings growth estimate (no analysts)	12.8%
Price at time of selection	$62.89	Consensus EPS growth rate for FY ended Jan. 2023	N.A.
Past year's price range	$53.69 – $77.35	Consensus EPS growth rate for FY ended Jan. 2024	N.A.
Recent market price	$63.11	Recent price-earnings ratio**	22.5x
Market capitalization	$74.0 billion		

* Excluding nonrecurring and special items.

** The P/E ratio is based on diluted EPS of $2.80 for the four quarters ended July 30.

Sources: Morningstar, Yahoo Finance, Value Line and company reports

Hyannis, Massachusetts, and soon began adding outlets.

Zayre went public in 1962. By the mid-1980s it comprised about 400 flagship stores and had launched or acquired several specialty chains. That company became TJX, which went public in 1987.

The corporation sold the Zayre chain the following year, and management concentrated on growing the specialty stores.

Ernie L. Herrman, 61, was named CEO and president in January 2016. He joined the company in 1989.

Carol M. Meyrowitz, 68, joined TJX in 1987 and was named the company's CEO in January 2007. She became executive chairman upon turning over the reins to Herrman.

Competitors include Burlington Stores (BURL), Macy's (M) and Ross Stores (ROST), Morningstar reported.

International Fabric

The company's international business accounted for $10.1 billion of 2021 net sales — 20.7% of the total.

The TJX Canada segment reported $4.3 billion in net sales in 2021, up 53.1% from $2.8 billion the year before. The segment accounted for 8.9% of the 2021 total.

The Canadian unit's 546 stores included 293 Winners clothing and home furnishings outlets. TJX acquired the Winners chain in 1990. The Canadian segment also included 147 HomeSense and 106 Marshalls outlets.

TJX International's combined 695 outlets produced net sales of $5.7 billion, up 49.1% from 2020's $3.8 billion. The segment accounted for 11.8% of total net sales.

The international segment consists chiefly of the T.K. Maxx chain, launched in 1994. At year-end the chain operated 618 outlets located chiefly in the United Kingdom. Other locations were found in the Republic of Ireland, Germany, Austria, Poland and the Netherlands.

In 2021 the corporation was operating 68 T.K. Maxx outlets in Australia. TJX entered the Australian market in October 2015 through its acquisition of Trade Secret, a small off-price retail chain.

The retailer's most recent acquisition added to the company's overseas footprint but became a washout this year. In November 2019 TJX acquired a 25% stake in Luxembourg-based Familia, which operated the only large off-price chain in Russia.

Shortly after Ukraine was invaded this year, TJX announced it would join the list of Western corporations divesting their holdings in Russia. Analysts suggested the divestment would not be material to the company's results, however. The 2019 transaction was valued at $225 million; Familia's value was estimated at $186 million in January.

Final Notes

BetterInvesting Magazine featured TJX as the Stock to Study for January 2016 and April 2011, and the Undervalued Company for May 2003. The stock ranked No. 64 in the Top 100 Survey of investor holdings for 2021 (*see the April 2022 issue*).

The company doesn't offer a dividend reinvestment and direct purchase plan. Shares underwent five 2-for-1 stock splits from 1997 to 2018.

Note that the partially completed Stock Selection Guide available at the BetterInvesting website uses Morningstar data, which reports fiscal-year share pricing. In contrast, Value Line offers calendar-year pricing information.

The following are Value Line's round-led calendar-year price ranges

for the past five years:

- **$33.20 to $40.50 (2017)**
- **$36.40 to $56.60 (2018)**
- **$43.80 to $61.70 (2019)**
- **$32.70 to $68.90 (2020)**
- **$61.20 to $76.90 (2021)**

The company's dividend yield stood at 1.9% on Aug. 29. TJX suspended the dividend for the last three quarters of 2020 at the start of the pandemic but resumed the payments in early 2021.

Except for a small upward spike in 2020, the share count has declined annually over the past 15 years, Value Line reported. In 2021 TJX bought back $2.2 billion worth of stock. It reportedly planned to buy back up to $2.5 billion worth this year.

More background on TJX and its industry, including the Value Line analyst and Value Line industry reports, can be found in the magazine section of the website.

For more information, contact Investor Relations, The TJX Companies, Inc., 770 Cochituate St., Framingham, MA 01701-4666.

— Reporting by contributing editor Kevin J. Lamiman

Next Month's Stock to Study and Undervalued Stock

The Editorial Advisory and Securities Review Committee met on Oct. 3. The Stock to Study and Undervalued Stock that its members selected were announced shortly afterward. The below link will take you to the announcement at the BetterInvesting Newsroom:

www.betterinvesting.org/about-us/news-releases

SSG Study Notes

During your analysis of the TJX Companies, Inc., you might consider the following comments and questions for further study:

- **Capitalization section:** TJX's management has a long and consistent policy of repurchasing shares, which could signal a bet that the market has undervalued the company's stock. If that bet is well-founded how would investors in TJX be benefited. What is the down side for investors if such a bet turns out to be unfounded? The company suspended dividend payments in June 2020, a few months after the beginning of the pandemic, and resumed them in early 2021. Does the resumption bolster your confidence that the company is poised and well-financed for growth, even in an environment that could be weak from a macroeconomic standpoint?

- **Section 1 (Visual Analysis of Sales, Earnings and Price):** Except for a big decline in 2020, the onset of the pandemic, TJX sales, pretax profit and earnings per share continued to rise incrementally during the decade through 2022. Likewise, share price showed a steady rise over the 10-year period. Should an investor assume that the trends will continue for the next five years? What factors should be considered when deciding whether growth will continue at the same rate for five or more years, an optimal time frame to realize returns? If the more optimistic forecast of an average 16.8% annual return (calculated by a member of BetterInvesting's Securities Review Committee) materializes over the next five years, is that sufficient to justify buying TJX shares? Is a more likely average return of 14.4% annually sufficient?

- **Section 2 (Evaluating Management):** Compared to Gap and Ross Stores, TJX scores as well or better in measures of Percentage Pretax Profit on Sales; Percentage Return on Equity; and Percentage Debt to Capital (as reported by BetterInvesting's Core SSG online tools). How important are those comparisons? Are there companies that compare more relevantly to TJX than Gap or Ross, how would you find them and do you know how to use the SSG to match them against TJX? Management has guided analysts to expect a range of future earnings between $2.94 and $3.01 per share for full-year fiscal 2022, which Value Line believes will be aided by continued stock repurchases. Future per-share earnings, absent stock purchases, could be lower — are you comfortable with earnings growth powered by stock repurchases?

- **Section 3 (Price-Earnings History):** On an absolute basis, pretax profit averaged (11.7)% annually over the past decade, including 2020, the year of pandemic, which at a glance looks unattractive from an investment perspective. But its peers and the industry did even worse, which could be viewed as a positive. How would you evaluate EPS growth that is driven significantly by share repurchases, what are the long-term effects of such a policy and would that deter you from owning the stock? The share price has risen fairly consistently for the past 10 years: Are there operational factors or competitive factors that might change that trend?

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer or contributors in their personal portfolios.

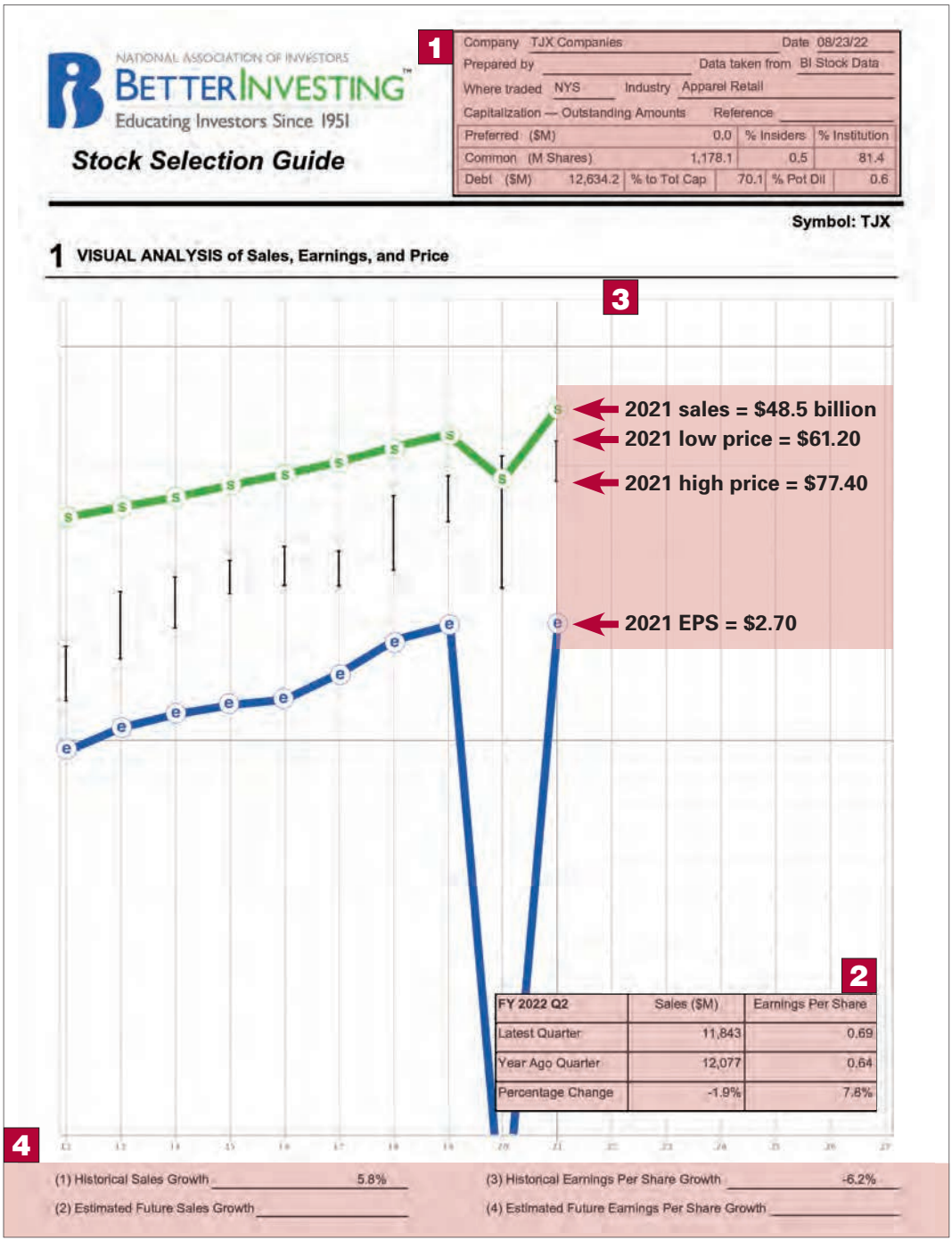
Figure 1
Capitalization information. Besides background about the company, including the data source used for the study, this section provides information about the number of common and preferred shares and the percentages held by insiders and institutional investors. The company's total debt and the percentage of debt to total capital also are detailed.

Figure 2
Recent sales and earnings results. This section contains the company's most recent quarterly results along with a comparison of results from the same quarter a year ago.

Figure 3
Visual analysis of sales, earnings and price. The graph provides a quick view of the company's financial results. A long-term history of consistent sales and earnings growth at relatively high rates indicates the company is well-managed and worth the time to study further.

The company's historical sales growth is plotted on the green line and historical earnings growth is represented by the blue line. The black bars provide information about the stock price. For each year, the top of the bar is the annual high price, while the bottom is the low price.

Figure 4
Forecasting future sales and earnings growth rates. This is the section in which you provide the first two primary judgments. The core of the BetterInvesting methodology is this: Sales growth drives earnings growth, and earnings growth drives stock price. Using the Stock Selection Guide, you'll forecast growth rates and determine the stock's potential high and low prices over the next five years.



The first step is to forecast sales growth. The company's historical performance is useful information, but you'll need to research the company and decide whether its revenue growth will continue at the historical level, slow down or possibly speed up.

After estimating sales growth, the next step is to forecast growth in earnings per share. In many cases you can estimate EPS growth that's similar to the rate you used for sales. EPS growth can differ from sales because of rising or falling expenses, an increasing or decreasing number of outstanding common shares and changing tax rates.

Remember, however, that even though a company can grow earnings faster than sales by cutting costs or buying back shares, this can't last forever. EPS growth eventually will drop to the same rate as sales.

You'll use the estimated growth rate for earnings to forecast the earnings per share five years from now. On the second page of the SSG, you'll use the future EPS to determine the stock's potential high price.

A key question to ask yourself is whether the company is growing at a sufficient rate relative to its size. Look for higher growth rates for small companies compared with medium-size and large companies.

Editor's note: The Value Line and Morningstar company and industry reports are available at the website's homepage under the Learning Center tab, BetterInvesting Magazine *section, for your use in conducting stock studies. You'll need Adobe Acrobat software to read the Portable Document Format files.*

2 EVALUATING MANAGEMENT

Company TJX Companies (TJX)

		2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	LAST 5 YEAR AVG.	TREND UP	TREND DOWN
A	% Pre-tax Profit on Sales (Net Before Taxes ÷ Sales)	11.9	12.1	12.2	11.8	11.2	10.8	10.7	10.6	0.3	9.1			
B	% Earned on Equity (E/S ÷ Book Value)	53.7	50.7	49.3	50.8	51.7	55.0	57.0	58.0	1.5	49.5			

5

3 PRICE-EARNINGS HISTORY as an indicator of the future

This shows how stock prices have fluctuated with earnings and dividends. It is a building block for translating earnings into future stock prices.

PRESENT PRICE _____ HIGH THIS YEAR _____ LOW THIS YEAR _____

	Year	A PRICE HIGH	B PRICE LOW	C Earnings Per Share	D Price Earnings Ratio HIGH A ÷ C	E Price Earnings Ratio LOW B ÷ C	F Dividend Per Share	G % Payout F ÷ C X 100	H % High Yield F ÷ B X 100
1	2017	40.7	33.2	2.02	20.2	16.4	0.60	29.7	1.8
2	2018	56.4	36.4	2.43	23.2	15.0	0.74	30.5	2.0
3	2019	63.0	48.2	2.67	23.6	18.0	0.89	33.1	1.8
4	2020	71.0	32.7	0.07			0.23	328.6	0.7
5	2021	77.4	61.2	2.70	28.6	22.6	1.04	38.5	1.7
6	TOTAL								
7	AVERAGE								

6

8 AVERAGE PRICE EARNINGS RATIO 9 CURRENT PRICE EARNINGS RATIO

4 EVALUATING RISK and REWARD over the next 5 years

Assuming one recession and one business boom every 5 years, calculations are made of how high and how low the stock might sell. The upside-downside ratio is the key to evaluating risk and reward.

A HIGH PRICE — NEXT 5 YEARS

Avg. High P/E _____ (3D7 as adj.) X Estimate High Earnings/Share _____ = Forecast High Price $ _____ (4A1)

7

B LOW PRICE — NEXT 5 YEARS

(a) Avg. Low P/E _____ (3E7 as adj.) X Estimated Low Earnings/Share _____ = $ _____

(b) Avg. Low Price of Last 5 Years = _____ (3B7)

(c) Recent Severe Market Low Price = _____

(d) Price Dividend Will Support Present Divd. / High Yield (H) = _____ = _____

Selected Estimate Low Price _____ = $ _____ (4B1)

8

C ZONING

_____ (4A1) High Forecast Price Minus _____ (4B1) Low Forecast Price Equals _____ (C) Range. 1/3 of Range = _____ (4CD)

(4C2) Lower 25% = (4B1) _____ to _____ (Buy)

(4C3) Middle 50% = _____ to _____ (Maybe)

(4C4) Upper 25% = _____ to _____ (4A1) (Sell)

9

Present Market Price of _____ is in the _____ (4C5) Range

D UP-SIDE DOWN-SIDE RATIO (Potential Gain vs. Risk of Loss)

High Price (4A1) _____ Minus Present Price _____

Present Price _____ Minus Low Price (4B1) _____ = _____ = _____ (4D) To 1

10

E PRICE TARGET (Note: This shows the potential market price appreciation over the next five years in simple interest terms.)

High Price (4A1) _____ = (_____) X 100 = (_____) - 100 = _____ (4E) % Appreciation

Present Market Price _____

5 5-YEAR POTENTIAL

This combines price appreciation with dividend yield to get an estimate of total return. It provides a standard for comparing income and growth stocks.

Note: Results are expressed as a simple rate; use the table below to convert to a compound rate.

A Present Full Year's Dividend $ _____

Present Price of Stock $ _____ = _____ X 100 = _____ (5A) Present Yield or % Returned on Purchase Price

B AVERAGE YIELD OVER NEXT 5 YEARS

Avg. Earnings Per Share Next 5 Years _____ X Avg. % Payout (3G7) _____ = _____ = _____ (5B) %

Present Price $ _____

C ESTIMATED AVERAGE ANNUAL RETURN OVER NEXT FIVE YEARS

5 Year Appreciation Potential (4E) / 5 _____ %

Average Yield (5B) _____ %

Average Total Annual Return Over the Next 5 Years (5C) _____ %

11

Figure 5

Evaluating management. The key to successful investing is finding well-managed companies whose stocks are reasonably priced. The company's historical growth rates provide evidence of good management, as do the numbers in this section.

Pre-tax profit margins represent how much of each sales dollar a company keeps before taxes. We look at pre-tax margins because companies have limited control over their tax rates. Look for stable or growing margins.

Return on equity indicates how well the company manages the money share-holders have invested in the company. Again, look for stable or growing returns.

Figure 6

Price-earnings ratio history. Section 3 includes information you'll use in Sections 4 and 5. Columns D and E detail the high and low P/Es for each of the past five years. You can also see the average P/E for the last five years as well as the current P/E. Information about the dividend yield also is offered.

Figures 7 & 8

Forecasting the high and low prices. The stock's P/E history will inform your judgments about the potential high and low prices. Multiply your predicted high P/E by the high EPS you calculated on the first page to determine the potential high price. Multiplying the expected low P/E by the low EPS (for a growth company, this often is the most recent year's earnings) is one way to predict the future low price.

Figures 9 & 10

Buy-Hold-Sell zones and upside-downside ratio. After calculating the potential high and low prices, you can use the SSG to determine whether the stock is reasonably priced. The upside-downside ratio compares the potential price increase to the potential price drop. Look for stocks that are both in the Buy zone and have an upside-downside ratio of at least 3 to 1; beware of abnormally large or small ratios.

Figure 11

Estimated average annual return over the next five years. In this final section, you'll learn about the stock's potential return over the next five years. This figure includes both the expected return from increases in the stock's price and predicted dividends.

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With Public Bookings Soaring, Aircraft Orders Take Off, Too

The Boeing Company

The Boeing Company (ticker: BA) appears to be pulling out of the dive caused by the waves of turbulence that began hitting it almost three years ago. Although the leading aerospace corporation continues to face difficult short-term challenges, orders and production output are accelerating toward levels last seen in 2018.

In December 2020 the Federal Aviation Administration allowed the company to resume delivering the 737 MAX. Regulators in most other countries shortly followed suit. Boeing's most popular model had been grounded following two devastating crashes traced to a software deficiency that has since been rectified. The company delivered 245 Boeing 737 MAX aircraft in 2021 — 72.1% of the 340 commercial planes of all types headed to customers last year.

In July the FAA gave clearance for resumed deliveries of the 787 Dreamliner, Boeing's second most popular model. Working under close FAA scrutiny, management sorted out manufacturing quality control issues that caused a production halt in mid-2021.

Delays in the launch of Boeing's new 777X cargo aircraft have continued, however; the first deliveries are now anticipated no sooner than late 2023.

Heading to the Skies. Boeing is again delivering the 737 MAX, its most popular commercial aircraft, following the FAA's signoff on the model's safety.

The global travel restrictions imposed early in the COVID-19 pandemic devastated the airline industry — and caused air carriers to put aircraft orders on hold. With pandemic conditions easing, however, the public is returning to the skies.

As air carriers line up to buy planes again, Boeing is building up a significant order backlog covering several years of production. Its cash flow is improving, and second quarter results showed the company inching toward a resumption of profitability.

The company remains under a public relations cloud that has dampened interest in its stock, observed members of the Editorial Advisory and Securities Review Committee. Investors still appear to question management's credibility, skeptical that the drumbeat of bad news is ending. That may represent opportunity for value investors with a more sanguine view of the company's prospects.

Committee members also noted that Boeing is effectively part of a global industry duopoly in tandem with Airbus (EADSY). Based in the Netherlands, Airbus, like Boeing, produces commercial and military aircraft, plus other military products and space systems.

Corporate management has been working on Boeing's turnaround under the leadership of a new chief. David L. Calhoun, 65, became CEO and president in January 2020. He was appointed upon the departure of CEO Dennis A. Muilenburg in the wake of the 737 MAX safety problems.

The stock's $165.40 close reported Aug. 29 was 29.3% below the 52-week high of $233.94 recorded on Nov. 15, 2021. The stock underperformed the S&P 500, which over the same time frame decreased 16.4% to 4,030.61 from a Jan. 4 high of 4,818.62. The Aug. 29 close was 62.9% below the stock's all-time high of $446.01 seen on March 1, 2019.

With losses still being reported, Boeing showed no 12-month price-earnings ratio (*see table*); the ratio for the S&P 500 was 20.4.

CSIMarket, a financial data service, reported a TTM P/E ratio average for the aerospace and defense industry of 40.9. Based on figures Yahoo Finance reported, the ratio average for two of the three Boeing competitors named by Morningstar was 19.2. (A third competitor also reported losses and was omitted from the calculation.)

For P/E to projected growth, or PEG, Yahoo Finance reported a ratio of 6.5 for Boeing based on an average five-year expected earnings growth rate. A range of no more than 1.0 to 1.5 is generally considered desirable.

Corporate Flight Plan

Boeing is a leading manufacturer of jetliners, military aircraft, missile defense systems, satellites, spacecraft and space launch systems. It also provides support and engineering services. In fiscal 2021 (ended Dec. 31, 2021), foreign sales constituted about 36% of total revenues.

Commercial Airplanes delivers passenger and cargo aircraft and support services. Sales in 2021 reached $19.5 billion —31.3% of total revenues. The segment manufactures variants of five aircraft lines.

Defense, Space and Security generated $26.5 billion — 42.6% of the total. In addition to producing military aircraft, the segment provides missiles such as the anti-

The Boeing Company

	2021 (ended 12/31/21)	2020 (ended 12/31/20)	% change	FY 2022 Q2	FY 2021 Q2	% change	FY 2022 year to date	FY 2021 year to date	% change
Net revenues	$62.3 billion	$58.2 billion	7.1%	$16.7 billion	$17.0 billion	(1.9%)	$30.7 billion	$32.2 billion	(4.8%)
Net income*	($4.2) billion	($11.9) billion	—	$193.0 million	$597.0 million	(67.1%)	($1.0) billion	$0.05 billion	—
Diluted EPS*	$7.15	($20.88)	—	($0.32)	$1.00	—	($1.74)	$0.09	—
Dividends	—	$2.06	—	—	—	—	—	—	—

Stock exchange	NYSE	Value Line long-term earnings growth estimate	N.A.
Ticker symbol	BA	Consensus long-term earnings growth estimate (9 analysts)	20.2%
Price at time of selection	$164.53	FY ended December 2022 consensus EPS growth estimate	78.7%
Past year's price range	$113.02 – $233.94	FY ended December 2023 consensus EPS growth estimate	307.5%
Recent market price	$165.40	Recent price-earnings ratio**	N.A.
Market capitalization	$98.2 billion		

* Excluding nonrecurring and special items.

** The P/E ratio is based on diluted EPS of ($8.95) for the four quarters ended June 30.

Sources: Morningstar, Yahoo Finance, Value Line and company reports

ship Harpoon missile, space launch systems, and military and commercial satellites.

Global Services and Support provides parts and services logistics for military aircraft. The unit generated $16.3 billion — 26.2% of total 2021 revenues.

As the company's financial arm, Boeing Capital extends credit for the sale and leasing of commercial aircraft. The segment generated $272 million — less than 1% of total revenues.

Boeing produces military aircraft and unmanned aerial vehicles, or UAVs. It also provides support services. In 2021 the company delivered 169 military aircraft, including remanufactures. Aircraft delivered in 2021 included the following:

- **F/A-18 Super Hornet aircraft and variants,** 21
- **F-15E Strike Eagle fighter and variants,** 16
- **P-8 Poseidon maritime patrol aircraft,** 16
- **KC–46A tanker,** 13

In 2021 Boeing also delivered 20 new and refurbished CH-47 Chinook transport helicopters and 83 new and remanufactured AH-64 Apache attack helicopters. The company produces UAVs such as the MQ–25, QF–6 and Insitu ScanEagle as well.

Boeing's F/A-18 combat aircraft is a longstanding mainstay of the U.S. Air Force, Navy and Marine Corps plus the militaries of several customer countries.

The F-15E is an older Air Force fighter; export markets have kept it in ongoing production. The P-8 handles anti-submarine and other naval warfare roles.

As a young man, company founder William Boeing worked for his father's Michigan-based forestry business. While working on the West Coast, he learned to fly. In June 1916 the entrepreneur launched the business that was to become The Boeing Company.

Boeing became a leading manufacturer of commercial aircraft in the years leading up to World War II. The company turned out military aircraft during the war, including B-17 and B-29 bombers.

In 1953 Boeing began developing the 707, the first in its series of commercial jetliners. During the 1960s Boeing became a manufacturer of missiles and spacecraft, and the company was deeply involved in the Apollo manned lunar exploration program.

The end of the previous century saw Boeing increase its presence in government aerospace programs. In 1996 it purchased the defense and space units of Rockwell International.

The following year Boeing completed the $14 billion acquisition of McDonnell Douglas, a leading manufacturer of military aircraft. This vaulted Boeing into the top position in the global aerospace industry.

David L. Calhoun, Boeing's new CEO, joined the board in 2009 and served briefly as chairman in late 2019. He previously was a senior executive at Blackstone Group (BX), General Electric (GE) and Nielsen Holdings (NLSN).

Lawrence W. Kellner, 63, joined the board in 2011 and was named chairman in December 2019. He previously was chairman and CEO of Continental Airlines, which in 2010 merged with United Airlines Holdings (UAL).

Competitors include Bombardier (BBD–B.TO), Lockheed Martin (LMT) and Northrop Grumman (NOC), according to Morningstar.

Recent and Pending Developments

China was a holdout in the wave of approvals for renewed deliveries of the 737 MAX. Management had pre-

dicted Boeing might receive approval for resumed delivery of the aircraft to Chinese air carriers by the end of this year.

At press time management reported that looks less likely, given U.S.–China tensions; aircraft already produced and slated for China therefore will be easily redirected to other markets.

In August Boeing negotiated a new contract with unionized workers at its three St. Louis-area plants. The agreement forestalled a threatened strike by about 2,500 employees.

In June 2021 the U.S. government and the European Union resolved a 16-year dispute over subsidies for large aircraft produced by Boeing and its rival Airbus. The two governments agreed to suspend tariffs for five years. They also agreed that future government support for commercial aircraft would be provided on market terms, ensuring a level playing field for manufacturers.

Final Notes

BetterInvesting Magazine featured Boeing as the Stock to Study for May 2017 and the Undervalued Company for May 2011. The company ranked No. 32 in the Top 100 survey of investment club holdings for 2021 (*see the April 2022 issue*). An estimated 209 clubs owned shares.

The company offers a dividend reinvestment and direct stock purchase plan. Three 2-for-1 and five 3-for-2 stock splits occurred from 1966 to 1997.

Boeing suspended its cash dividend in early 2020 as the pandemic began and hasn't yet resumed the payments. The company's share repurchase program remains suspended also. The share count has fluctuated over the past 15 years, Value Line reported.

More background on Boeing and its industry, including the Value Line analyst and Value Line industry reports, can be found in the magazine section of the website.

For more information contact Investor Relations, The Boeing Company, 100 N. Riverside Plaza, Chicago, IL 60606–1596.

Websites of Interest

The Boeing Company
www.boeing.com

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— Reporting by contributing editor Kevin J. Lamiman

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With a Formal Plan, Investors May React Less Emotionally to Market Swings

The Role of Investment Policy Statements

by Jeffrey Steele

It is easy for investors to agree with their financial advisers on plans to guide their investment activities over ensuing months and years. Much more difficult is avoiding the tendency to react emotionally to inevitable market swings. Many find it exceptionally challenging to adhere to their plans when bull market rallies leave them feeling greedy or when bear markets have them frantic to sell all investments and head for the hills.

That's why Investment Policy Statements, or IPSs, exist. IPSs are documents that officially lay out the understanding between an investor and investment adviser, outlining an array of investing considerations that will go into achieving financial goals.

IPSs are used by managers of foundations and pension funds, said Jody D'Agostini, certified financial planner for Equitable Advisors in Morristown, New Jersey. Both are officially compelled, she said, "to stay true to the IPS."

> "Possessing an IPS forces investors to think in the long term."

Who's to say that what's good for these giant entities shouldn't be just as valuable a tool for future-focused individual investors?

"An investment policy statement describes a client's financial goals and investment objectives," said Philip Weiss, financial adviser and founder at Apprise Wealth Management, an independent financial planning practice based in Phoenix, Maryland.

In addition, the IPS provides a wide-ranging perspective on the individual's investment philosophy, Weiss said. The time horizon that must be considered is also a key element of the IPS, which will often incorporate sections focused upon the individual's material needs for cash, including future college education costs for children, purchase of a new home or acquisition of a vehicle. The IPS form used by Apprise Wealth Management, for instance, outlines ongoing contributions and withdrawals, specific tax considerations impacting distributions, clients' risk tolerances and potential restrictions or constraints placed upon the investments, such as a preference for ESG (environmental, social and governance) investing, Weiss said.

"The adviser's authority is also outlined," he added. "A completed IPS should be agreed upon and signed by both the client and the adviser."

Avoiding Drift

In essence, an IPS places guardrails around what assets an investor will and won't invest in as part of a portfolio, D'Agostini said. "That's important so you don't take too many risks, and so you don't let your asset allocation drift from the original intent," she added. "When you set that up and stay true to the plan, you won't get the drift when markets go haywire. When they do, investors start to let their emotions take over."

An IPS might be likened to a plan to travel from, say, Chicago to Los Angeles, said Jack Meyer, founder and adviser at Meyer Wealth Advisors in the Chicago suburb of Naperville, Illinois. If you're planning to travel from the Midwest to the West Coast, you can choose one of several ways to get there. You can drive, take the train or bus or you can fly. Each involves different means of reaching the goal of ending up in L.A.

In a not-dissimilar way, an IPS is a kind of road map of your journey to financial goals. Just as a plan to drive would take the traveler longer to reach Southern California, so too might an IPS that stipulates a very conservative fixed-income investment approach take longer to realize an investor's goal of achieving financial independence.

A plan to fly quickly to the destination, he said, might be seen as akin to an IPS calling on the use of an aggressive stock portfolio to achieve financial independence for one's golden years.

"It's kind of a high-end psychological policy statement," Meyer said. "It says, for instance, 'I'll invest in index funds, I'll stay in a 60-40 balance, and when the market gets topsy turvy, I won't sell, I'll simply rebalance.' You have to dig deeply into what you really want, walk down this path together with your adviser, and put it in writing."

Each Varies

It's important to note that versions of Investment Policy Statements used by different advisory firms will differ widely. And each IPS within firms will differ, as each must be customized to an individual investor's circumstances, goals, risk tolerance and more. There are a number of fundamental components of IPSs, which include all the following:

- **Financial account information** detailing the investing platforms the individual will use; how much is in his or her taxable accounts and in qualified accounts, including 401(k)s, IRAs, Roth IRAs, 403(b)s and so on; and

plans going forward for future contributions to these taxable and tax-advantaged accounts.

- **Financial specifics**, including the immediate need for liquidity to meet short-term needs, and long-term financial objectives into and through retirement. Also included in this section are specifics on the time frame for investing, how long specific money flows will be required and the dollar amounts that will be needed.
- **Recommended investment asset classes**, such as whether money will be invested in domestic stocks and bonds or international stocks. Also included are areas the investor wants to sidestep, which might include hedge funds, asset classes in which there is already disproportionately high exposure due to employment or geography and expense-laden actively managed funds.
- **Benchmarking and analytics**, including how often the IPS will be monitored, ways in which portfolio returns will be compared and acceptable levels of divergence from benchmarked objectives in terms of time and amounts.
- **Mechanisms for altering the IPS** represent another element. Here, detailed financial and lifestyle rationales for altering the IPS are set forth, as are scenarios such as cyclical stock market downturns that call for no alteration to the IPS.

Reduced Emotions

An IPS helps lay out the investment process, Weiss said. "Having a well-defined process can help reduce the role that emotions have on a client's portfolio," he added. "Putting a process in place and sticking to it can help investment performance. It helps establish rules that guide you in terms of the timing and type of portfolio transactions. This can prevent — or help lessen chances — an individual investor covered by an IPS will react to fear by selling or react to feelings of greed by buying on market highs."

Because it's agreed to and signed by both client and adviser, the IPS is a document that works for both parties. "In terms of where we're going in the legal landscape for financial advisors, it's good to get that acceptance up front from the client," D'Agostini reported. "It doesn't mean it will specifically [identify] one particular number. For instance, it could say 3% to 8% will be invested in emerging markets. If we need to revisit the IPS, we may want to say, 'With the war in Ukraine, we'll want to pull back from the original international asset allocation.' We have clients sign their IPSs because it's a protection for both of us. When we do our reviews, one of the things we're asking is, 'What has changed in your personal or professional life?' If something has changed, we will change the asset allocation and will amend the IPS to reflect the new circumstances."

She observed the power of the IPS is reflected in a study once conducted by Vanguard. The study demonstrated that an adviser's value can add 3% to individual investors' returns over time. She witnessed that truism play out over the past three years. Between the economic fallout from COVID-19 and 2022's choppy market, that period saw her assuming the role of financial coach with ever greater regularity.

"I was hearing clients out, and bringing them back to their goals, while adding a historical perspective," she said. "I would bring them back to the idea we're basically in a 60/40 portfolio as documented in our IPS. We don't want to change from that unless there's some change in their lives."

While an IPS has always been important, it's probably never been more essential than it is today, investing experts report. Not only have the last few years brought periods of greater-than-normal volatility, but many experts are predicting the next two decades will deliver stock market returns considerably less robust than over the past 15 years. That means the brand of discipline imposed by an IPS could be crucial to an investor's long-term success.

IPS Limitations

It's important to know that for all the benefits they can provide, Investment Policy Statements cannot dictate every aspect of an investment policy. "An IPS could conceivably be 10,000 pages long," Meyer said. "There are so many factors involved in individuals' investment plans, they could result in hugely long statements.

"For instance, I had as a client a woman who told me she would never invest in anything to do with guns. I asked her, 'How about Walmart? They sell guns.' She said, 'Oh, well, I never thought of that.' So you have to include some wiggle room in the IPS. There are so many things you must consider."

While IPSs can be amended over years of the client-adviser relationship, they aren't intended to change on a dime. That, D'Agostini said, is a very good thing. Just as a concrete foundation of a building is cast shortly after groundbreaking and can't be altered quickly or easily, the foundation of the client-adviser relationship still must rest on the rock-solid long-term objectives identified at the outset.

"That's really the strength of [the IPS], to reflect the long-term goals as opposed to focusing on short-term dips," she said. "It's protection for both the adviser and the client and should be widely used."

The need to avoid short-term thinking and actions cannot be overemphasized. Failure to base the investing plan on a well-crafted, written IPS can result in an investor being buffeted by day-to-day stock market gyrations. That can lead to the pursuit of short-term gains as opposed to years- or even decades-long objectives. Possessing an IPS forces investors to focus on the long term, particularly at times when the performance of financial markets is engendering much too pessimistic or conversely exuberant moods. B

eBay Is Sold Off From the Lineup

First American Financial Joins Model Portfolio

by Cy Lynch

Portfolio Overview

Reviewing Historical Stock and Portfolio Returns

The model portfolio's relative return since it began in October 2006 is 1.6% versus our goal of 5.0%, based on its annualized total return of 11.7% compared to 10.1% for the stock market represented by the Vanguard Total Stock Market exchange-traded fund (ticker: VTI).

This is down a couple of percentage points from my August column, mostly due to an error in tracking the stock market return for that column that I have now corrected. The percentage of selections outperforming the stock market decreased to 50.6%, within our goal range of 50% to 55%.

Reviewing Fundamental Projections in Light of Latest Financial Reports

All but six companies in the portfolio issued new financial reports. Virtually all performed in line with expectations.

Anthem, Inc. changed its corporate name to Elevance Health, Inc. (new ticker, ELV). Local insurance plans branded under the Blue Cross and Blue Shield names will continue to operate under those names. "Non-Blue" local plans will be consolidated under the Wellpoint brand over time. The company continued to exceed our sales growth projection, but earnings per share declined a little.

On the positive side, Bookings Holdings, Inc., C.H. Robinson (CHRW) and Fastenal (FAST) all reported both sales growth and EPS increase well above my projections. While EPAM Systems (EPAM) did not issue a new report, its stock price continued to rebound substantially from the lows hit at the beginning of Russia's invasion of Ukraine.

On the negative side, Bristol-Myers Squibb (BMY) continued to underperform overall in the latest report, for the quarter ending June 30, and provided mixed results with sales increasing just 1.6%, while EPS increased 40.4% based largely on favorable comparison to miserable results for the second quarter in 2021. We will continue to hold and watch BMY closely.

eBay (EBAY) continues to fall short of projections with sales declining for the fifth straight quarter as the EPS rate of increase also declined in each of those quarters (reporting actual losses in two of those five quarters, including the latest).vThe company's sales have been mostly flat and EPS very inconsistent, since spinning off PayPal in 2014. Accordingly, we will sell eBay and reinvest the $6,060.05 in proceeds in stocks with better prospects.

The portfolio's overall projected sales growth is 10.6% (*see graphic*), above our goal of at least 10%. Value Line's Median Price Appreciation Potential (VLMAP) over the next three to five years for its standard edition stocks increased a little to a nominal 65% (13.3 % annualized). The minimum target return for the model portfolio is 18.3%, five percentage points over the expected market return. Projected overall total return for the model portfolio is 19.4%, comfortably above our target.

Protecting Real Estate Transactions and Residential Buyers After the Sale

This month's feature, First American Financial Corporation (FAF) is headquartered in Santa Ana, California, and serves home buyers and sellers, real estate professionals, loan originators and servicers, commercial property professionals, home builders and others involved in residential and commercial property transactions.

First American's Title Insurance and Services Segment produces nearly all of the company's revenue by providing title insurance and closing/settlement services and real estate data products.

The company's Specialty Insurance Segment sells home warranty solutions and property and casualty (P&C) insurance policies. The company expects to complete winding down its P&C business in the last part of 2022.

Historical sales, pretax profits and EPS have increased relatively consistently over the last 10 years, with sales growth averaging 6.6% and EPS increase averaging 18.8% over that time.

Much of that increase happened in 2021, in part due to very low interest rates stimulating unusually high mortgage refinancing trying to get in ahead of anticipated mortgage rate increases.

Accordingly, I will alter my usual practice with projected future sales and EPS starting at the end of the historical trend line rather than the latest quarter. I project sales to grow an average of 7% over the next five years.

Over the last five years, pretax profit margins have increased pretty steadily from a low of 7.75 in 2017 to a 10-year high of 17.8% in 2021, averaging 12.7%. I used this five-year average pretax margin of 12.7% as my projection over the next five years.

I will use the current income tax rate of 23.9%, a little above Value Line's projected 21%, as my projection five years out. Diluted shares outstanding have remained relatively steady the past 10 years, increasing slowly just a little before falling back to about where they were

> **"FAF's historical sales, pretax profits and EPS have increased relatively consistently over the last 10 years."**

10 years ago. I will use the currently outstanding diluted shares of 108 million as my projection for five years out.

These projections (started at the end of the historical trend line) lead to EPS of $9.67 in 2026. I will use a projected high price-earnings ratio of 14x.

This is somewhat below the five-year high of 15.3 but below the average that I find distorted a bit by the refinancing boom.

Combining these judgments leads to a forecast high price of $135.40 and potential total return of 21.7%, including a projected dividend yield of 2.1%.

Investing our regular $1,000 plus eBay proceeds of $6,060.05 in First American leaves our portfolio projected sales growth at 10.6% and increases projected total return to 19.6%.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer in his personal portfolio.

First American's Title Insurance Segement Produces Most of Its Revenue

Stock	8/5/2022 value	% of portfolio before Transactions	% of portfolio after Transactions	Proj. sales growth	Proj. total return	Hist. return relative to market
Maximus, Inc.	$5,867.52	3.2%	3.2%	12.0%	28.9%	(39.6)%
NetEase.com, Inc.	10,419.20	5.8	5.7	15.0	26.0	694.0
Lam Research Corp. (purchased 1/4/22)	730.29	0.4	0.4	14.0	26.0	(12.6)
Lam Research Corp. (purchased 3/8/22)	5,039.77	2.8	2.8	14.0	26.0	7.2
Skechers (purchased 3/12/20)	1,540.54	0.9	0.8	12.0	24.9	(14.9)
Skechers (purchased 3/8/22)	5,046.72	2.8	2.8	12.0	24.9	7.3
Axos Financial	928.27	0.5	0.5	13.5	24.5	(4.4)
Starbucks Corp.	6,782.58	3.8	3.7	9.0	23.8	(25.4)
T. Rowe Price	1,823.27	1.0	1.0	9.0	22.2	(40.2)
II-VI, Inc. (purchased 12/5/18)	1,490.58	0.8	0.8	14.0	22.0	(7.0)
II-VI, Inc. (purchased 10/10/19)	9,448.48	5.2	5.2	14.0	22.0	23.6
MKS Instruments (purchased 7/29/21)	779.34	0.4	0.4	12.0	21.9	(13.4)
MKS Instruments (purchased 3/8/22)	7,989.32	4.4	4.4	12.0	21.9	(14.8)
Installed Building Products, Inc.	10,716.95	5.9	5.9	13.0	21.9	3.1
C.H. Robinson (purchased 5/31/13)	2,323.03	1.3	1.3	6.0	21.8	(52.0)
C.H. Robinson (purchased 6/30/14)	3,570.12	2.0	2.0	6.0	21.8	(29.8)
C.H. Robinson (purchased 7/6/15)	5,668.57	3.1	3.1	6.0	21.8	(14.1)
Regeneron Pharmaceuticals	1,303.81	0.7	0.7	9.0	21.2	28.0
Alphabet (Google)	5,381.13	3.0	3.0	18.0	20.5	268.9
Gentex Corp. (purchased 9/5/14)	3,475.05	1.9	1.9	10.0	19.0	(13.4)
Gentex Corp. (purchased 7/6/15)	5,259.12	2.9	2.9	10.0	19.0	(28.6)
AbbVie, Inc. (purchased 7/31/20)	10,191.46	5.6	5.6	11.0	18.7	19.5
AbbVie, Inc. (purchased 10/9/20)	3,311.59	1.8	1.8	11.0	18.7	12.1
Cognizant (purchased 6/3/08)	4,114.97	2.3	2.3	7.0	18.4	26.8
Cognizant (purchased 8/6/10)	3,079.89	1.7	1.7	7.0	18.4	(119.0)
Bristol-Myers Squibb	3,078.04	1.7	1.7	8.0	17.1	4.4
eBay Inc. (purchased 3/7/14)	1,952.11	1.1	0.0	7.0	16.6	(44.7)
eBay Inc. (purchased 6/30/14)	4,107.95	2.3	0.0	7.0	16.6	0.3
Texas Roadhouse, Inc.	1,228.66	0.7	0.7	13.0	16.1	0.0
FedEx Corp.	1,037.00	0.6	0.6	7.0	15.5	13.1
Genpact Limited	1,134.43	0.6	0.6	9.0	15.0	6.7
LKQ Corp.	5,434.07	3.0	3.0	9.0	14.8	(3.0)
TJX Companies, Inc.	6,538.26	3.6	3.6	9.0	14.7	12.3
CVS Health Corp. (purchased 7/27/16)	7,007.15	3.9	3.9	8.0	14.5	(79.1)
CVS Health Corp. (purchased 2/7/18)	6,080.08	3.4	3.3	8.0	14.5	(10.4)
MSC Industrial Direct	1,418.91	0.8	0.8	7.0	13.6	(129.7)
Fastenal	5,997.50	3.3	3.3	9.0	13.6	85.5
Elevance Health (Anthem)	7,113.79	3.9	3.9	8.0	13.2	323.3
Booking Holdings, Inc. (purchased 8/31/18)	986.38	0.5	0.5	14.0	13.2	(45.9)
Booking Holdings, Inc. (purchased 4/15/19)	4,505.09	2.5	2.5	14.0	13.2	(39.4)
First Financial Bankshares	4,483.68	2.5	2.5	9.0	12.3	12.1
EPAM Systems, Inc.	2,248.42	1.2	1.2	15.0	8.3	48.0
Totals before transactions	**180,633.09**			**10.6**	**19.4**	
First American Financial	7,060.05		3.9	7.0	21.7	
Portfolio Totals after Transactions	**181,633.09**			**10.6**	**19.6**	

Investing in Several Offerings May Ramp Up Long-Term Results

3 Funds Versus 1 Fund

by Craig L. Israelsen, Ph.D.

There is a price associated with convenience. You can gain exposure to the U.S. stock market with one ticker. This is obviously super convenient. Or you could use three tickers — not quite as convenient. The question is which is better? Clearly, there are many ways to invest in the U.S. equity market using any number of funds. This article explores two such ways.

An example of the single ticker approach is **Vanguard Total Stock Market Index Admiral Shares (ticker: VTSAX)**. There are others, such as iShares Core S&P Total U.S. Stock Market ETF (ITOT) and Fidelity Series Total Market Index Fund (FCFMX).

From Jan. 1, 2000 through Dec. 31, 2021, VTSAX produced a 22-year annualized return of 7.83%. An investment of $10,000 became $52,531. Very convenient and reasonable performance — though not the classic 10% per year that most equity investors wish for.

Another approach would be to invest in separate index funds from the three U.S. equity market segments that comprise the total stock market exposure: large cap, mid cap, small cap.

For the purposes of this comparison, those three funds will be **Vanguard 500 Index Fund Admiral Shares (VFIAX)**, **Vanguard Mid-Cap Index Fund Admiral Shares (VIMAX)** and **Vanguard Small-Cap Index Fund Admiral Shares (VSMAX)**. When combined, these three funds seek to accomplish (at least in theory) what the Total Stock Market Index is attempting to achieve. Thus, we're examining the performance of one single mega index fund against the performance of three separate index funds combined together and rebalanced annually.

The first full year of performance for VTSAX was in 2001, so the return of Vanguard Total Stock Market Index Fund Investor Shares (VTSMX) was used in 2000 (same fund, just a different share class). Same for the three separate funds: Vanguard 500 Index Fund Investor Shares (VFINX) in 2000, VFIAX after that. Vanguard Mid-Cap Index Fund Investor Shares (VIMSX) in 2000 and 2001, VIMAX after that. Vanguard Small Capitalization Index Fund Investor Shares (NAESX) in 2000, VSMAX after that.

The time frame for this comparison was the 22-year period from Jan. 1, 2000 to Dec. 31, 2021 (*see top table below*).

As shown below, the best performer was clearly the mid-cap index (VIMAX) since the year 2000. But if the goal is to have complete coverage of the U.S. equity market, you'll also need exposure to large-cap and small-cap stocks. VTSAX provides that, but with a very heavy dose of large caps. Total stock market index funds and exchange-traded funds are market capitalization

Performance in the New Millennium

Performance From Jan. 1, 2000 to Dec. 31, 2021	VFIAX Large Cap	VIMAX Mid Cap	VSMAX Small Cap	VTSAX Total Stock
22-Year Annualized % Total Return	7.51%	10.61%	9.41%	7.83%
22-Year Standard Deviation of Annual Returns (%)	17.87	18.75	19.30	18.12
Growth of $10,000	$49,159	$91,926	$72,331	$52,531

Source: Steele Mutual Fund Expert raw data, with calculations by author

> **"A three-fund approach produces three separate returns. Even in down years, one of the three funds may have a positive return."**

Divide and Conquer

Jan. 1, 2000 to Dec. 31, 2021 (22 Years)	VTSAX Total Stock	3 Funds Market-Cap Weighted, Annually Rebalanced; Allocation: VFIAX, 70%; VIMAX, 20%; VSMAX, 10%	3 Funds Equally Rated, Annually Rebalanced; Allocation: VFIAX, 33.3%; VIMAX, 33.3%; VSMAX, 33.3%
22-Year Annualized % Total Return	7.83%	8.38%	9.26%
22-Year Standard Deviation of Annual Returns %	18.12	17.82	18.16
Growth of $10,000	$52,531	$58,747	$70,115

Source: Steele Mutual Fund Expert raw data, with calculations by author

weighted. This means the large-cap stock component will have about a 70% weighting, mid cap will get roughly 20% and small cap will have around a 10% weighting.

If we created our exposure to the U.S. equity market using three funds instead of using the single ticker VTSAX, we gained an extra $6,216 over the past 22 years. This assumes we weighted the three funds according to market capitalization (70% to large caps, 20% to mid caps and 10% to small caps).

What if we invested in all three funds equally and rebalanced at the end of each year? Using this approach, we picked up 143 basis points (bps) in performance (9.26% return versus 7.83% in VTSAX). This three-fund approach translated into an ending account balance that was higher by $17,584 compared to investing solely in VTSAX.

What's the downside? Using the equally weighted three-fund approach we experienced a 22-year standard deviation of 18.16% compared to 18.12% for VTSAX — virtually the same. The market cap weighted trio of funds had a standard deviation of 17.82%. Just a tad lower, so no downside there either.

What about cost? VTSAX currently has an expense ratio of 4 bps. The market cap weighted trio of funds comes in at 4.3 bps and the equally-weighted trio has a cost of 4.7 bps. Each approach is extremely cost effective.

Separability: the Real Advantage

The primary advantage of a three-fund approach to the U.S. equity market is that the performance is "separable." In other words, the total stock market index fund produces one single return (one "bucket"). If the return in a particular year is negative and you need to withdraw money — too bad. Your withdrawal will magnify the loss of the fund (your single "bucket" investment) that year. By contrast, a three-fund approach produces three separate returns (or three separate "buckets"). Even in down years one of the three funds may have a positive return.

For example, in 2000 the Vanguard Total Stock Market Index had a return of (10.57%). If that was your only U.S. equity exposure, and you needed to withdraw money, your withdrawal would have magnified the loss. By contrast, if using three separate funds to gain exposure to U.S. equities, you could have withdrawn money from Vanguard Mid-Cap Index in 2000 because it had a stellar year with a gain of 18.1%.

Its neighbors (Vanguard 500 Index and Vanguard Small-Cap Index) had negative returns in 2000. This is a clear example of the performance variation that can exist among the three "cap" segments of the U.S. equity market, which is completely diluted when using a single-ticker total stock market fund.

Three funds versus one fund. As always, it's your decision. If you're a young investor (whatever young is?) perhaps a single ticker exposure to the U.S. equity market is OK. For retirees or those close to retirement, using more tickers is the prudent path.

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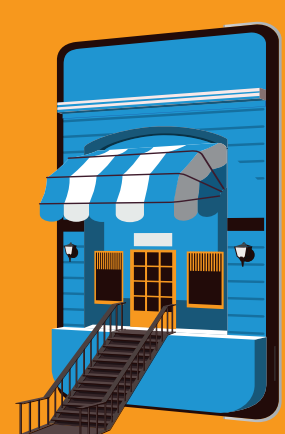

Between Recession Risk and Elevated Inflation, Fixed-Income Provides Breathing Room

Can Fixed Income Fix Investor Concerns?

by Jordan Chussler

In the first half of the year, the markets entered and remained in correction territory. As a result, analysts, financial media and retail investors were all echoing the likelihood of a recession; the threat of ongoing, elevated inflation; and the effects of the Federal Reserve's interest rate hikes. But one class of assets continues to provide a safe haven: fixed-income funds.

From the onset of 2022 through the completion of its first half, market conditions were unsightly to say the least. Equities, specifically in the tech sector, were pulled back to Earth, finding parity with their true valuations. Nasdaq-listed stocks like Netflix (ticker: NFLX) experienced portfolio-shattering corrections after dropping nearly 72% between January and mid-June.

Like stocks, index funds — those that aim to track the returns of a market index — are no stranger to the negative effects of broad sell-offs, either. So in the first half of the year, as the market was plagued by corrections in almost every sector, those funds fared just as poorly as their underlying stocks.

The SPDR S&P 500 ETF Trust (SPY), the world's largest and oldest exchange-traded fund, shed more than 21%. Other index funds performed even worse. The Russell 2000 Index dropped nearly 24%. And through the first six months of 2022, the tech-heavy Nasdaq Composite had it the worst, slumping over 30%, which was good for the worst start to a year in its 51-year history. The second half of the year got off to a better start, with the SPY recovering more than 12% from its bottom in mid-June through the start of August, and the Russell 2000 climbing 10.5%. But those summer recoveries were overshadowed by multiple factors. Among them:

- **Jobless claims**, still hovering around historic lows, began to tick up throughout the summer.
- **Inflation lingered** near a 41-year high.
- **Two consecutive quarters of gross domestic product contraction** had everyone from Wall Street to Main Street concerned about a looming recession.
- **The Federal Reserve hiked the benchmark interest rate** by the largest amount of basis points in decades, and they did so multiple times.
- **And as interest rates rose, home sales plunged**, causing a slowdown in housing starts and triggering a correction in home values that gave analysts and owners flashbacks of 2008's Great Recession.

All of this loomed over consumers and investors alike as the first half concluded. The result was plummeting consumer confidence, overwhelming bearish sentiment and the lingering threat of recession. However, despite the turmoil and subsequently ominous outlooks, fixed-income funds — or bond funds — held up to the downtrend much better than most other asset classes.

Resisting the Downtrend

Throughout summer, it was difficult to find assets that were in the green. Commodities offered a momentary bright spot in the first half, with energy leading the way, but eventually they pulled back, too. Even inflation-resistant sectors — like utilities, health care and consumer staples — had trouble breaking out of the red in the first six months. Identifying an investment that was not significantly down felt like a win for investors and fixed-income funds were one of the few that provided that relief. According to Fidelity, U.S. Treasuries are paying 3.18% for the nine-month note, 3.26% for the one-year note, 3.35% for the two-year note and 3.65% for the three-year note. Compare that to the 21.03% loss for the SPY through the first six months of the year and it is evident why people are turning to bond funds.

Though they carry heavier expense ratios than index funds, fixed-income funds afford a safe haven for investors exhausted by the sector-by-sector guessing game that plagued the first half of 2022. And while stocks' average dividend yield remains well below the historic highs set in the 1970s (the average for Dividend Aristocrats is a mere 2.3%), yields for bond funds are above dividend yields for the first time in years.

Pricing in Policy

The return to popularity for fixed-income funds is not all that surprising. After more than a decade of investors disregarding Treasuries in favor of higher risk assets, the Federal Reserve's rate hikes — a belated attempt to quell the effects of runaway inflation — have caused bond yields to rise considerably. This is particularly appealing to income investors as they (1) face a late stage environment and (2) see record numbers of baby boomers retiring each year. As investors look for reduced risk alongside a guaranteed income stream, fixed-income funds can deliver precisely that.

With volatility plaguing the markets in 2022, fixed-income products provide steady interest payments that can both help offset losses from declining stock prices and soften the blow of decades-high inflation. That high in inflation is what makes these funds appealing at present, as it affords investors the opportunity to benefit from rising rates. In fact, as a result of the Federal Reserve's policy — specifically, qualitative tightening and increases to the effective federal funds rate — Treasury yields are now at their highest level since 2019. The real yield

(that is, adjusted for inflation) on the 10-year Treasury note rose by 19 basis points from May 2021 to May 2022. The 30-year Treasury note is 67 basis points higher over the same time frame.

Track Record and Allocation

According to Lawrence Gillum, a fixed-income strategist with LPL Financial, "Now is an opportune time to reallocate money into fixed income… Higher yields at present will allow bonds to fulfill their role once again as an effective equity buffer and portfolio diversifier."

Fixed-income funds are known for carrying significantly less risk than stocks because they do not react to market trends or macroeconomic factors as sensitively as other asset classes. Because of that reduced sensitivity, investors who diversify their portfolios by including fixed-income funds can potentially offset losses in the equities they hold. Between 1926–2019, funds that were 100% allocated to fixed income enjoyed an average historical return of 5.33%. There are outliers, of course. In their best year (1982), the return was an enormous 32.62%. In their worst year (1969), that figure was (8.13)%.

But it's that respectable 5.33% average historical return that is important to focus on, as the probability of having an annual gain with a fixed-income fund is spectacular. Over the course of those 94 years, bond funds with a 100% allocation to fixed income experienced just 14 years with a loss, or 14%, meaning they have a historical track record of producing positive returns 86% of the time. That probability increases for funds not entirely allocated to fixed income. For allocations of 80% fixed income, 20% equity, just 13 of 94 years had a loss (13%). The average historical return for 80/20 funds was 6.62%. For those with a 90% fixed income, 10% equity split, only 12 of 94 years had a loss, good for an 88% likelihood of producing a positive return. Those 90/10 funds had an average historical return of 5.99%.

Capital Preservation

Are investors who take advantage of fixed-income funds going to miss out on potentially higher gains? Of course they are. Bond funds, by their very nature, produce lower returns because they involve lower risk. If the market has demonstrated anything thus far in 2022, it's that investors should be targeting defensive, lower-risk positions as the economy teeters on the edge of recession and inflation continues to affect companies' bottom lines and consumers' household budgets.

So despite missing out on potentially higher upside, those who include fixed-income funds in their portfolios will also avoid the market's tumult when companies with inflated valuations catch up to them (as was the case with Netflix in early 2022), or when entire sectors of the S&P 500 come crashing down (as was the case with the information technology sector in early 2022).

This is extremely pertinent for long-term investors, those approaching retirement or those who recently have retired. Investing in bond funds allows retirees to fortify their fixed income (e.g., distributions from retirement savings accounts, Social Security or a combination thereof), while safeguarding capital from unpredictable market swings.

But these funds are not just for retirees and long-term investors. "U.S. News & World Report" on July 18 reported that "Fixed income has become a very valuable part of a balanced portfolio in today's economic climate, and it is no longer used simply to hedge an equities- or alternatives-heavy portfolio. Instead, fixed-income investments now come 'with real income availability, which can very readily exceed future levels of inflation,'" says Rick Rieder, chief investment officer of global fixed income at BlackRock.

Inasmuch, bond funds provide a means of meeting financial need for any demographic of investor via monthly interest payments. This is a significant factor given the dollar's diminished purchasing power as inflation lingers near 40-year highs.

How to Invest in Fixed-Income

There is no shortage of options for investors looking to target fixed-income funds, with popular choices offered by Vanguard, JPMorgan, T. Rowe Price, Invesco and BlackRock among others. The top offerings are actively managed, which is why they carry higher expense ratios (ranging from 0.5% to 1.5%) than their passively-managed counterparts (0.2% on average). It's important to note that funds with expense ratios in excess of 1% should be avoided, as they are deemed excessive and could erode potential long-term returns. A fund with a 1% expense ratio will charge $10 for every $1,000 invested.

Coupled with a fair-to-low expense ratio, look for strong ratings. Fixed-income funds like **JPMorgan Income Fund Class A (JGIAX)**, **Invesco Equity and Income Fund Class A (ACEIX)**, **Vanguard Short-Term Investment-Grade Fund (VFSUX)** and **BlackRock U.S. Government Bond Portfolio (PNIGX)** all receive a four-star rating from Morningstar, and each carries an expense ratio of between 0.1% and 0.78%.

Lastly, look for the average credit rating of each fixed-income fund's portfolio positions. For example, the FSUX has an average credit rating of A-, while the PNIGX sports a rating of AAA. The higher the rating, the lower the risk, which after all, is what investing in fixed-income funds is all about.

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Many Retirees Look Forward to a Steady Cash Stream From Income Stocks

Growing Dividends Are Good for Investors

by Craig Braemer, CFA®, CFP®

I learned a long time ago, dividends are important. Whereas many people chase high yielding stocks, I like to focus on stocks that consistently grow their dividends. Because of the quality of growing dividend companies, their stocks tend to outperform in bear times and lag a bit in bull markets. Dividends represent a solid portion of the total return investors have received historically, making them important for investors. A growing income stream from a dividend that continuously grows should be exciting for investors.

What Is a Dividend?

A dividend is a discretionary decision, usually made quarterly, by the company's board of directors (the board) to share part of their earnings with shareholders. In order to determine a dividend amount, the board takes into account the current activity, reinvestment options, acquisitions, cash generation and capital needs of the company. Investors have historically been rewarded with increasing stock prices for companies that consistently raise their dividend. Typically, the board decides annually on whether they will increase what they share with investors.

Why Should a Company Not Pay a Dividend?

Any size or type of business can pay a dividend, including plenty of smaller companies. There are also companies that should not pay a dividend. Some examples are companies with better reinvestment opportunities, debt-laden companies, money-losing companies and those in highly cyclical businesses. Historically, there is significant underperformance of a company's stock price when investors either believe a dividend will be cut or when a dividend is actually cut. We will discuss this later.

Some Key Dates Regarding Dividends

There are four key dates in the dividend cycle:

- **1. The announcement date** — This is when the dividend is announced. Also known as the declaration date.
- **2. The record date** — This is when an investor must be listed in the company's books in order to receive the dividend.
- **3. The ex-dividend date** — If a stock is sold on this date, the seller receives the cash amount of its dividend as the owner of record. The buyer on this date does not get the dividend. It is important to note that the stock price will drop by the amount paid.
- **The payable date** — This is when the owner of the stock is paid the dividend.

History of Growing Dividend Stocks

Historically, reviewing long-term charts of asset classes has shown that stocks do significantly better versus other asset classes like bonds, commodities or cash. Within stocks, there is a study by Washington Crossing Advisors and Ned Davis Research, "The Case for Rising Dividends," from April 13, 2021, that looked at a 50-year period ending in 2020. The results showed that dividend-growing stocks generated a 10.4% annualized return over these 50 years while the S&P 500 Index was only up by a 7.9% annualized return. Basically, companies that either started or increased their dividend consistently exhibited better performance than both stocks in general and the S&P 500 Index. This is an important study for investors interested in stocks and even more important for those wanting to grow their income stream (*see Websites of Interest*).

In this same study, a potential or actual dividend cut showed a significant lower return versus the market. The magnitude is large, so it is important to avoid companies where this issue can happen. An easy way to do this is to only include growing dividend companies in your portfolio. What this means is: If a company has historically raised its dividend, but then does not raise it again the next year — sell the stock. This is a simple concept that works great.

I learned this concept from Phil Cohl, a friend who was a long-time investor in growing dividend stocks. The company's lack of an increase might be a warning to investors that there could be a future problem without explicitly saying it. Companies that have been raising their dividends consistently will likely continue this process in the future. There are a number of companies with 40-plus years of annually increasing dividends.

Growing Income General Concept

Many investors feel that dividend increases give the assurance that business is going well and the company is secure enough to share part of its cash flow/earnings with shareholders. As a long-term investor, this concept might be useful when looking for steady cash flows. These consistently growing dividend streams could provide that steady cash flow that someone in retirement may desire. The dividend yields might start off small, but if they increase at a decent rate annually, these companies can become great income stocks in the future. In general, stocks with high dividend yields are typically slower at growing their earnings and dividends.

During this time of high inflation and a bear market,

dividends have proven to be a nice buffer against both. We saw similar positive relative results during the last big inflationary environment in the 1970s. It is comforting to see a stock raise its dividend faster than inflation over time.

How long should a company be raising its dividends to be considered significant? Some say five years and others say 25 years. I have found 10 years of consistently growing dividends works for me. Ten years of raising dividends is long enough to be established, but short enough for the company to have plenty of runway for future dividends and business.

Dividend Growth Comparison of a $150 Stock

Assuming No Stock Price Change Over Time

	Growing Dividend at 15% Per Year	No Growth in Dividend	Growing Dividend Slowly At 2% per Year
	Stock A	Stock B%	Stock C
Dividend Year 1	$1.00	$3.00	$2.00
Dividend Year 5	$1.75	$3.00	$2.16
Dividend Year 10	$3.52	$3.00	$2.39
Yield Year 1	0.7%	2.00%	1.3%
Yield Year 10	**2.3%**	**2.00%**	**1.6%**

> **"Ten years of raising dividends is long enough to be established, but short enough for the company to have plenty of runway for future dividends and business."**

A Comparison of Dividend Growth

Many investors chase the higher dividend yielding stocks because they need the income. However, with planning and time, an investor could do better and might generate a higher dividend yield. As an investor, we would love to have an increasing stock price, a growing dividend, and a high dividend yielding stock based upon cost.

In the example in the graphic at top right, there are three companies — Stock A is a company growing its dividend rapidly at 15% per year; Stock B has a high dividend yield that is not growing its dividend; and Stock C is a company with a slow growing dividend at 2% per year.

Though investors may feel they are getting a great dividend in the beginning with Stock B, which is almost three times higher than Stock A, they might not be getting a great total return. In fact, in just 10 years, the dividend from Stock A and its yield is greater than the other two stocks.

If you presume stock prices track earnings and dividend growth, over long time periods this example would show that Stock A was a great selection. This is despite having the lowest yield and dividend to start. Just think, this is with a dividend growth rate of just 15%. Many younger, fast-growing companies are increasing their dividends at a faster rate.

The Payout Ratio and Other Analytical Sources

The payout ratio is a key tool when looking at dividends. The formula is simple: Take the dividends paid and divide them by the company's earnings. This ratio enables investors to compare companies easily.

For example, (everything is on a per share basis) a company has $10 in dividends and the company's earnings are $100. **(($10/$100) x 100) = 10% payout ratio.** This low payout ratio means that the company is keeping 90% of their income for its business. If the company paid $50 in dividends using the same $100 of earnings, the payout ratio would be 50%. Finally, if the company paid $100 in dividends with the same $100 of earnings, the payout ratio would be 100%. In other words, the company is paying out all its income in dividends and leaving nothing to grow its business.

Let's look at three important items needed to sustain a growing dividend:

- **1. A lower payout ratio** allows a company to increase its dividend over a long time period.
- **2. A company with growing earnings** has the ability to increase its dividends. So, it is good to focus on companies that can grow.
- **3. A strong balance sheet can help maintain dividend growth** by allowing the company to fund that dividend during weaker economic periods. BetterInvesting recommends that you limit financial leverage to 33% or less.

Dividends and the Stock Selection Guide (SSG)

Using BetterInvesting's online stock analysis tool, SSGPlus, a chart of dividends is present in Section 1. It is nice to see the numbers going up and to the right. In Section 3, there is a five-year dividend history and payout ratio for a company. You will see if a company desires to maintain its payout ratios within a certain range. Companies like to have consistency for long-term planning purposes. Look at the table to see if there is a pattern. In Section 5 is the Expected Total Return section.

Continued on Page 45

Supply Disruptions From the Pandemic, War Continue to Create Economic Pain

What's Driving Today's Inflation?

by George D. Rahal

Read the headlines. Are prices sky high? Is this the worst economy ever? The worst inflation ever? Well, let's look at commodity prices and see. Let's look at the benchmark Bloomberg Commodity Excess Return Index since its inception in 1991 to this year. (*See top chart at right.*)

The index is up 20% this year, from a 10-year bear market, but way closer to its low than its high. So, that's the commodity index.

Let's look at energy. (*See the second chart at right.*)

This chart clearly shows the pain at the gas pump (unleaded up 64%!) but interestingly the crude oil price and, to a lesser extent the heating oil price, doesn't reflect this gain. If the feedstock, oil, is not up but the wholesale unleaded gas price is up, this implies that noncommodity factors are affecting prices at the pump.

Mainly these are transport and labor. But wages are not up this much (roughly up 4% this year) so we are left with the same answer for everything in 2022, it's the supply disruptions from the non-economic external effects of the double whammy of COVID-19 and the brutal war in Ukraine.

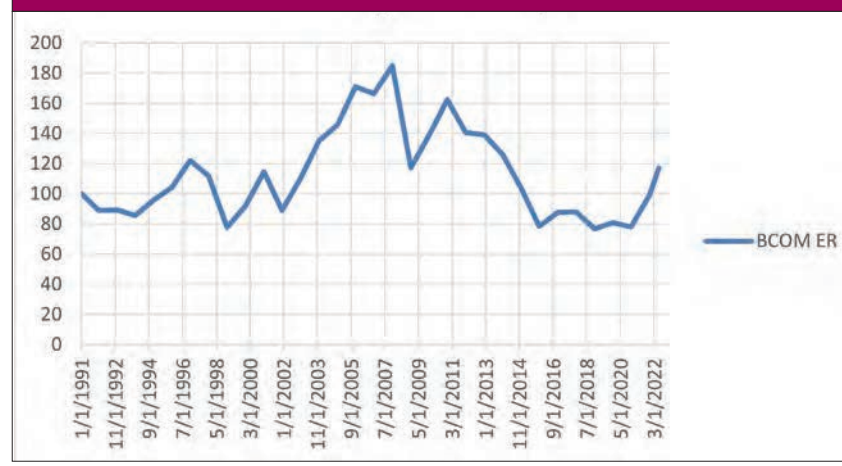
What about food? (*See the top graphic on the next page.*)

A lot of the same picture. The food we eat, agriculture in general, and wheat, do not reflect high inflation. Soybeans, on the other hand, with Ukraine a major world producer do reflect food inflation and, of course, Ukraine is at war.

What about livestock? (*See the second graphic on the next page.*)

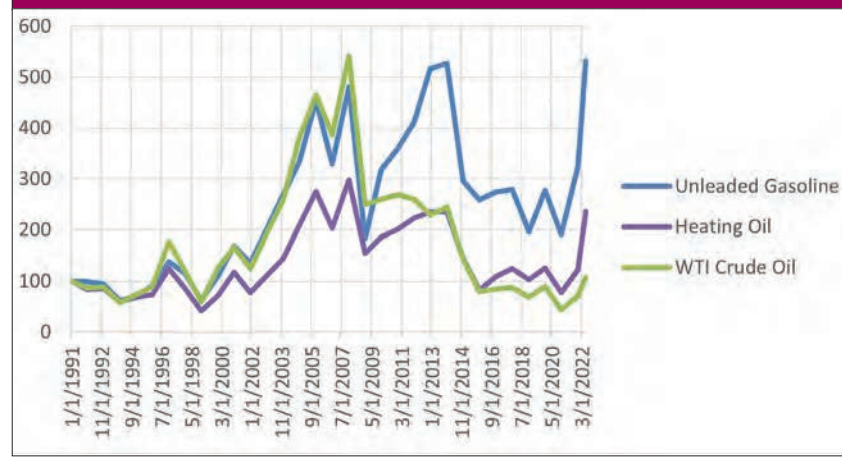
The wholesale cattle market, as high as it is, is trending lower. Corn, mostly used for livestock feed, is low.

Bloomberg Commodity Excess Return Index



Source for all charts: Bloomberg.com

Bloomberg Commodity Excess Energy Return Sector Indexes Since Inception



Pork is near all-time lows! While social trends can account for some of these declines, the livestock markets have always been a nightmare of supply variation, storage and transport.

Again, if supermarket prices are high, it's not because of commodity and labor inflation.

Finally **let's look at the traditional measure of inflation, precious metals** and, for comparison, **industrial metals**. (*See the bottom chart on the next page.*)

While both indexes are up, neither is at all-time highs.

While precious metals "should" reflect price inflation and industrial metals "should" proxy for the economy, they look more in lockstep now than in 2011. Neither reflects the

> **"Today's prices are more reflective of external factors, pandemic and war than true economic malaise."**

"worst inflation ever."

While headlines cry wolf, we may have to realize that today's prices are more reflective of external factors, pandemic and war, than true economic malaise. The economy is fundamentally a function of demographics — the first world demographics of increasing retirements and too few young to replace older workers has not changed. Pandemic and war, hopefully, will!

Why use the Bloomberg Commodity Indexes? Because the Bloomberg Commodity Indexes are the world's premier diversified commodity indexes. The S&P GSCI index is heavily weighted to energy.

Why the excess return index? Excess return indexes measure pure commodity future price returns without adding Treasury Bill interest rates which the "headline" total return indexes do.

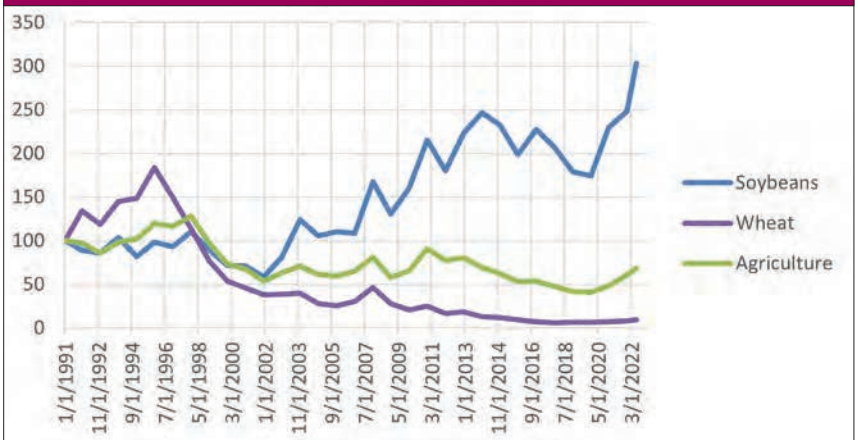
And, why cherry-pick the Jan. 2, 1991, start date and June, 30, 2022, end date? These dates are not cherry-picked, they are the index inception date and the current quarter-end. Finally, why use normalized index prices and not actual prices? Each commodity has a different price measure, prices are indexed/normalized by Bloomberg for valid comparisons.

Websites of Interest

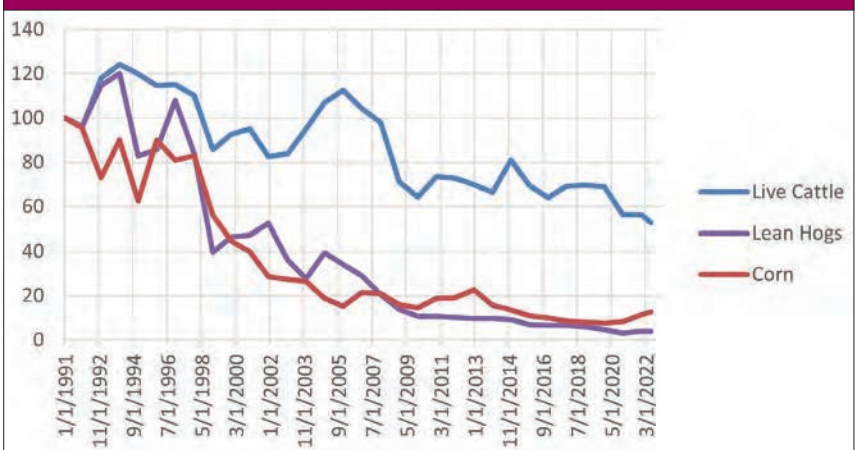
Excess return, Wall Street Mojo
www.wallstreetmojo.com/excess-return/

Excess Returns, Investopedia, James Chen; Dec. 3, 2021
www.investopedia.com/terms/e/excessreturn.asp

Bloomberg Commodity Excess Return Agriculture Sector Indexes Since Inception



Bloomberg Commodity Excess Return Livestock Sector Indexes Since Inception



Bloomberg Commodity Excess Return Metals Sector Indexes Since Inception

In Inflationary Times, Charter Communications' Management Signals Sound Practices

Heads We Win, Tails We Don't Lose

by Vitaliy N. Katsenelson, CFA®, CIO of Investment Management Associates

This article from Vitaliy Katsenelson includes discussion of assets mentioned only for educational purposes; no investment recommendations are intended. For more articles, go to Vitaliy's Contrarian Edge website (www.contrarianedge.com). You can sign up at the site to receive articles by email.

Charter Communications (ticker: CHTR) is one of the largest cable companies in the US. In large strokes, we think of it as three businesses: cable TV, broadband internet and wireless. Cable TV is a high-revenue, low-margin business — most of the revenue (deservedly) goes to content providers. This business is in a mild, long-term, steady decline.

Cable companies don't mind losing this business, for several reasons: First, after you factor in the costs of customer service, this business makes very little money. Second, people who quit TV consume almost double the amount of broadband (700 gigabytes versus 400 gigabytes a month). Broadband internet, on the other hand, is a growing, high-margin business. It is a utility, just like water and electricity.

Wireless is a high-growing but yet to be profitable business. Unlike traditional wireless companies (think AT&T or Verizon), which encounter significant costs in building and maintaining wireless networks and spend tens of billions of dollars on wireless spectrum every few years, Charter is an MVNO, a mobile virtual network operator. It buys a bucket of bandwidth from Verizon at a wholesale price. Charter sells wireless services only to its cable and broadband customers. Most of Charter's wireless usage occurs at customers' homes or offices (80%) on Wi-Fi. The incremental cost of this usage to Charter is negligible. Compared to its wireless counterparts, Charter has a lower cost of providing wireless service and thus can charge less for the service. And does.

Though the company argues that wireless will be a profitable product in the long run, we think Charter's mobile strategy makes sense if the business just broke even. Offering wireless services widens CHTR's moat as it makes customers stickier (reduces churn). It also makes it difficult for wireless competitors to steal CHTR customers, as they cannot underprice CHTR's wireless service. If wireless providers decide to go to the mattresses (wage a price war) with Charter on wireless, they'll destroy their business, as wireless service is the largest source of their cash flows.

CHTR stock has sold off from its highs. The market is worried about threats from competing technologies: 5G, fiber to the home (FTTH), fixed wireless, and satellite (we'll discuss that one last). We spent a lot of time studying these competitive threats and concluded that they are unlikely to have a significant impact on CHTR. All these networks/technologies look like this: a lot of fiber crisscrossing the country, which dead-ends in a neighborhood switch. This part is universal for all players other than satellites. Strategy diverges in how the signal is delivered from the neighborhood switch to the individual house, the last mile. FTTH is bringing ethernet cable to the house. 5G bridges the last mile from the cell tower through a wireless connection. Fixed wireless does this through airwaves, a direct line-of-sight type of wireless (I am oversimplifying). Once the signal gets to our homes, most of our internet usage happens wirelessly through our Wi-Fi routers.

Each technology has its benefits and disadvantages. Let's start with 5G. It is exponentially better than 4G. It is faster, has less latency, and drains batteries less. But it is still constrained by the scarcity of wireless spectrum — the "air pipe." This is why wireless providers usually limit how much you can download on your device. Typical wireless providers put a cap of 50GB a month of downloads per household. The average cable customer consumes 400GB of data if they have TV service and 700GB if they don't.

(Remember, if you don't have TV, you stream it over the internet and thus consume more data.) Our internet data consumption is only moving in one direction, at a very past pace, indefinitely: up! This will put further stress on the finite 5G spectrum, whereas broadband's upward bound is virtually unlimited. 5G wireless customers will pay as much as Charter cable customers but will get 10-15x less data and slower speeds. If each 5G customer used as much internet as broadband customers, wireless providers would either go broke (they'd have to be spending hundreds of billions of dollars on new spectrum) or download speeds would slow to a crawl. Fixed wireless doesn't work well in congested areas where there are obstructions: houses, trees, other buildings. Its impact on CHTR will be limited.

Fiber to the home is the Cadillac of all available services. Here, the last mile is actually not fiber but ethernet cable, but nevertheless it is twice as fast as cable on download and much faster on upload. When you go to the Netflix website and click through movies you might like to watch, you are uploading instructions to a Netflix server and downloading screenshots and video clips. This upload consumes only a tiny amount of bandwidth. Once you are watching the movie, you are only downloading. Since both cable and fiber provide very

fast download speeds, fiber's relative advantage on the download side is not noticeable. Its upload advantage is not relevant for most customers, unless they are uploading large files, which most consumers don't do.

The downside of fiber is that rollout is expensive. Telecommunication technology has made exponential leaps over the last decades. But the technology of digging ditches and getting permits at local county offices is stuck in the mid last century. The history of this industry is full of stories of telecom providers promising to build out their fiber networks, doing it, and then stopping short of rollout, complaining that the rate of return on invested capital is below the cost of that capital. The most infamous example is Google's thinking it could overcome the miserable economics of fiber and failing to do so, miserably. Things have only gotten worse since; today the industry has labor and fiber shortages.

The wireless industry has a mixed track record of making rational decisions. Verizon spent billions on Yahoo and AOL and then wrote those billions off as a bad investment a few years later. AT&T has been by far the worst offender. It unloaded TimeWarner (a horrible $100 billion acquisition from a few years ago) into a new company and said that it would focus on its core business of wireless and fiber. We expect AT&T to do what it does best: Blow a few billions of shareholder capital and then, just like Verizon, Google and others, throw in the towel on fiber to the home.

Low interest rates are more forgiving of capital misallocation than high interest rates. Thus, we don't expect AT&T's adventure into the fiber business to last very long. Most of AT&T's effort is likely to focus on its DSL customers, whom it is at risk of losing to cable competitors. DSL has much lower speeds than cable or fiber.

The last competitive threat is low-orbit satellites. They are wonderful for difficult-to-reach places, but quality of service is impacted by weather. They have slower download speeds than cable and face similar spectrum limitations as wireless carriers. They will unlikely find widespread usage in urban areas. We don't see them as a significant threat to cable.

Charter's revenue growth over the last few quarters did slow down a few percentage points. But the slowdown was not caused by new competition but rather a lack of activity in the housing market, resulting in lower industry churn. When people move from one house to another, they switch providers. They usually drop DSL and choose cable. At some point the churn will pick up, but CHTR stock is undervalued even if revenue growth remains where it is today.

I've written many times on the importance of management, the softer side of investing. Over the last few years we have made a deliberate decision to invest in companies run by great management teams. Great management is not only important because of the value it creates, but because of the value it doesn't destroy. Great managers make mistakes, but they'll work day and night to fix them. Finding undervalued, high-quality assets is difficult in this environment, and not buying them because management did not pass the smell test requires incredible willpower and discipline.

Management is what attracted us to Charter. They have created a lot of value for shareholders, have a conservatively managed the balance sheet, bought back stock at attractive prices, and did not blow money on stupid acquisitions: Yes, they did all that. What really attracted us is that they are playing a long-term game. Charter's broadband service is priced at $60, which is $15-$20 cheaper than fiber and cable competitors in other markets. They want to make it painfully uneconomical for new competitors to enter into their market. As Charter's CEO, Tom Rutledge, said, it's the right thing to do for the customer.

Charter is a carnivore of its own shares: Over the last five years it bought almost half of its shares, and it will keep doing it. Charter is not shy about using debt, and it shouldn't be, it has very stable, highly recurring revenues and cash flows. It uses debt intelligently: debt maturities are spread out in small chunks into the future. If the debt market freezes and has a 2008 deja vu moment, Charter will be able to pay off all of its debt maturities with cash on hand and its annual free cash flows.

Charter is a perfect business for an inflationary environment: Internet is a necessity, and Charter has pricing power. If it raises prices, it won't lose customers (its competitors are getting away with 20%-30% higher prices). A large chunk of its costs are fixed and thus won't rise with inflation. Inflation improves Charter's cost advantage against new entrants. The bulk of its fixed costs were spent in pre-inflationary dollars and won't rise with inflation; a new entrant has to spend newly inflated dollars to build out its network and is forced to charge much higher prices to recoup inflated costs.

Charter should have about $45-$50 of immediate free cash flows per share. The stock is about $450. But the combination of slight revenue growth and share repurchases should lead to $70-$80 of free cash flows per share in three to four years. At a 13-17 price-to-free cash flow multiple we get a $900-$1,300 stock. At the current price we see essentially no downside, only upside, in Charter's value. Let's say it achieves $60 of free cash flows and the market gives it only a 10x multiple. It then trades at $600. Heads we win ($900-$1,300); tails we don't lose ($600). Ironically, the worst thing that could happen to us would be for the stock to go up quickly, reducing the amount of its own shares it would be able to buy and the future free cash flow per share and upside.

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Investing for the Long Run

For a Solid Retirement Plan, You Need to Stay the Course

by Craig L. Israelsen, Ph. D.

Investing for the "long run" is a very compelling mantra — at least for those who have a long run ahead of them. For the investor who is currently 105 years old this article may be somewhat less useful. If you're younger than 80 years old — I think it will apply. The question is simply this: Just how long is the long run? Is it two years? Five years? Ten years? Or even longer?

I will be examining four asset classes — large-cap U.S. stock, small-cap U.S. stock, U.S. bonds and U.S. cash — over investment holding periods ranging from five years to 35 years in length. I will also examine a four-asset portfolio (consisting of 40% large-cap U.S. stock, 25% small-cap U.S. stock, 25% U.S. bonds and 10% U.S. cash). The overall time frame of this study was the 96-year period from Jan. 1, 1926 to Dec. 31, 2021.

The historical returns of four indexes were used in this analysis. Large-cap U.S. stock was represented by the S&P 500 index from 1926-2021. Small-cap U.S. stock was represented by the Ibbotson Small Stock Index from 1926-1978 and the Russell 2000 Index from 1979-2021. U.S. bonds were represented by the Ibbotson U.S. Intermediate Government Bond Index from 1926-1975 and the Bloomberg U.S. Aggregate Bond Index from

1976-2021. Finally, U.S. cash was represented by 90-day Treasury Bills from 1926-2021.

Does the past 96 years, 1926-2021, represent a long-run investing period? In terms of the performance data available, it's the longest span I have access to — so the answer is "yes," 96 years represents a "long run." For the purpose of this study, therefore, the 96 years from from 1926-2021 represents our benchmark long-run performance.

With that established, we will examine investment periods that, while less than 96 years, might reasonably be considered "long run" periods if the performance is equal to or better than the 96-year performance.

Long-Run Performance

Shown below in the table at the top (Table 1) are the gross (meaning not inflation-adjusted) average annualized returns for each individual asset class and a four–asset portfolio over the past 96 years. The four-asset portfolio was rebalanced annually. The impact of taxes was not considered.

Over the past 96 years large-cap U.S. stock produced a 10.46% gross average annualized return, small-cap U.S. stock averaged 11.35%, U.S. bonds 5.23% and U.S. cash 3.31%. The four-asset (40% large stock, 25% small stock, 25% bonds, 10% cash) portfolio produced a 96-year average annualized return of 9.46%. Not surprisingly, the 96-year standard deviation of annual returns is dramatically smaller for U.S. bonds and U.S. cash compared to U.S. large stock and U.S. small stock.

It's encouraging to observe that a diversified portfolio achieved 90% of the return as large-cap U.S. stock — but with 24% lower standard deviation (hence, 24% less risk).

The impact of inflation on asset class returns can be significant. Over this 96-year period the inflation-adjusted (or "real") return of large-cap U.S. stock was 7.35%.

"Over the past 96 years large-cap U.S. stock produced a 10.46% gross average annualized return."

Long-Run Avg. Annualized Returns From 1926-2011, 96 Yrs.

	Large-Cap Stocks	Small-Cap Stocks	U.S. Bonds	U.S. Cash	Diversified 4-Asset Portfolio *
Gross Annual Return (%) (Not Inflation Adjusted)	10.46	11.35	5.23	3.31	9.46
Standard Deviation of Gross Annual Returns (%)	19.60	30.80	5.60	3.20	14.90

** 40% large-cap U.S. stock, 25% small-cap U.S. stock, 25% bonds, 10% cash.*
Source: Steele Mutual Fund Expert, with calculations by author.

Percentage of Time With Returns Equal To or Above the 96-Year 'Long-Run' Return, Based on Length of Investment

(Chart is based on 92 five-year rolling periods)

A Reason to Stay the Course as an Investor

Asset Class	35-Year Periods (n=62)	30-Year Periods (n=67)	25-Year Periods (n=72)	20-Year Periods (n=77)	15-Year Periods (n=82)	10-Year Periods (n=87)	5-Year Periods (n=92)
Large-Cap Stocks	81%	66%	51%	55%	51%	48%	58%
Small-Cap Stocks	77	69	68	64	62	62	57
Bonds	60	58	49	45	48	43	41
Cash	66	60	54	51	50	46	42
4-Asset Portfolio*	82	78	67	62	55	57	54

** 4-asset portfolio consists of 40% large U.S. stock, 25% small U.S. stock, 25% bonds, 10% cash. Annual rebalancing assumed.*
Source: Steele Mutual Fund Expert, with calculations by author.

Small stock had an inflation-adjusted return of 8.21%, bonds delivered an annualized return of 2.26% after inflation and U.S. cash eked out a 0.40% 96-year average annualized real return. The four-asset portfolio generated a real annualized return of 6.37% between 1926 and 2021.

The Main Question

On to the main question: How long do we need to invest in a particular asset class (or portfolio of asset classes) to achieve or exceed the "long-run" 96-year return in each asset class? As shown in the bottom chart on the previous page (Table 2) a 100% large-cap U.S. stock investment achieved an annualized return of 10.46% or higher in 81% of the rolling 35-year periods between 1926 and 2021. If only investing for five years large U.S. stock equaled or bettered the long-run return 58% of the time (based on 92 rolling five-year periods).

A sole investment in small U.S. stock exceeded the long-run return of 11.35% in 77% of the 62 rolling 35-year periods compared to 57% of the time in the 92 rolling five-year periods. Bonds produced a return equal to or higher than 5.23% in 60% of the rolling 35-year periods, but in only 41% of the rolling five-year periods.

Cash outperformed the long-run return of 3.31% in 66% of the rolling 35-year periods and only 42% of the rolling five-year periods. An annually rebalanced, four-asset portfolio produced a return of 9.46% or higher in 82% of the rolling 35-year periods and in 54% of the rolling five-year periods.

It's quite clear that longer holding periods produced returns that were closer to or higher than "long-run" performance. **The long-run for investing in large-cap and small-cap U.S stock is at least 35 years** (assuming an 80% "success rate" of achieving a long-run return is used as the threshold).

For bonds and cash, performance is somewhat better when the holding period is longer, but the impact of longer time frames is not nearly as dramatic as we observe when investing in stock. **The long-run for a four-asset portfolio is 30 years and beyond.** If investing for "only" 25 years, the four-asset portfolio achieved the long-run return of 9.46% only 67% of the time, but if investing for at least 30 years the four-asset portfolio produced a return of 9.46% or higher 78% of the time.

The next question is this: If the four-asset portfolio's performance during a particular time period was below the long-run return, by how much did it underperform?

For instance, if investing for at least 35 years we know from Table 2 that the four-asset portfolio achieved or bettered the long-run return of 9.46% in 82% of the 62 rolling 35-year periods from 1926-2021. But that also means the portfolio underperformed the long-run return of 9.46% in 18% of the 62 rolling 35-year periods.

The average amount of underperformance was 57 bps (basis points). In other words, even when the four-asset portfolio did not achieve the long-run return over 35-year periods, it didn't miss by much as 57 basis points is just slightly more than ½ of 1%. So, when the four-asset portfolio didn't achieve a return of at least 9.46% over a 35-year period, its return was roughly 8.89% (or 57 basis points lower than the long-run return of 9.46%).

By contrast, over rolling five-year periods the average underperformance when the portfolio failed to achieve the long-run return of 9.46% was a whopping 496 bps. In other words, when only investing for a five-year period the four-asset portfolio return was below the long-run return of 9.46% a total of 46% of the time. The average amount of underperformance was 496 basis points (or a total five-year return of 4.50% on average).

When a four-asset portfolio failed to achieve the long-run return over investment holdings periods of 35 years, 30 years or 25 years it missed

by between 56 to 79 basis points. Not a very big miss. A holding period of 20 years, however, had an average miss of 169 basis points.

Thus, when we are not able (or unwilling) to invest in a primarily equity-based portfolio for at least 25 years we are more likely to fall short of a long-run return both in terms of frequency and magnitude.

With this additional insight about the "average amount of the underperformance" we can now say that a 25-year investing period for a multi-asset portfolio is sufficiently long to achieve — or be very close to — the long-run return.

The Findings

The general findings from this analysis are crystal clear: Based on the past 96 years, the longer the investing time frame the more likely we are to achieve a return that is closer to the long-run return when investing in stocks or a portfolio that includes at least 65% stock.

Said slightly differently, investing in a diversified portfolio that has roughly a 65% exposure to stocks for longer time periods doesn't guarantee that the performance will meet or exceed the "long-run" return — but it dramatically increases the likelihood of achieving performance that is closer to the long-run return.

Now, a metaphor. True long-run investing is akin to cooking with a crockpot — not a microwave. This will likely come as a real shocker to some investors today whose "microwave" mindset may lead them to believe that a four-month investment period is a long-term hold.

It's not.

If, however, a portfolio is comprised primarily of bonds and cash we take some comfort in observing that a long investment period is not as crucial in achieving a return that is reasonably close to the long-run return.

For this reason, these two asset classes (particularly cash) are viewed as safer short-term investments compared to the dramatic performance volatility that we observe in stock-based investments. That said, the future for bonds right now is certainly bleaker than it was in the early 1980s.

> "Young to middle-aged investors might want to plant a hardwood tree the same year they start investing. When the oak tree is about 35-40 feet tall the portfolio will very likely have achieved a long-run return."

Get Out Your Shovel

So, just how long is the long run? Based on these findings, for stock and stock-based portfolios a long-run investment period is at least 25-30 years in length. Translation: Young to middle-aged investors might want to plant a hardwood tree the same year they start investing. When the oak tree is about 35-40 feet tall — which should take roughly 25-30 years — the portfolio will very likely have achieved a long-run return. B

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A Club May Want to Buy or Sell Stocks Between Meetings

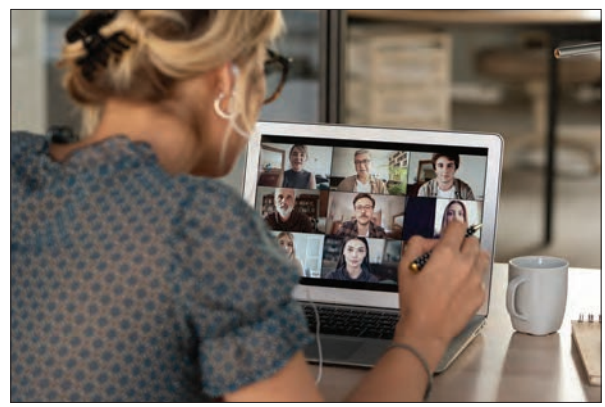
Sometimes a Club Has to Take Action — Now!

by Doug Gerlach, President, ICLUBcentral

Following is a reprint of interest to today's readers, from the May 2012 issue of BetterInvesting Magazine.

One of the key reasons BetterInvesting's growth stock selection methodology works so well for investment clubs is that it results in a portfolio of high-quality companies that tend to be less volatile than many other types of investments.

A monthly meeting is frequent enough to properly manage the club's portfolio. When news — either good or bad — affects these kinds of companies, the opportunity to buy or sell is usually still available at the next club meeting.



Still, a club may run into a situation when taking action in between meetings might be desirable. Maryel Battin and her fellow club members in the Professional Women's Investment Group of Macon, Ga., are considering this issue.

She writes: "Our club is researching the idea of allowing stock to be purchased and/or sold via email vote of the members. Do you have any thoughts on this?" The advent of easy and low-cost communication tools such as telephone conference calls, email and collaborative online meetings is definitely changing the way that many investment clubs operate. This extends to the very definition of "club meeting."

From the Living Room to Online

No longer are clubs solely meeting in living rooms or office conference rooms. Many are taking advantage of technology to improve communications, streamline procedures and make better investing decisions. For Maryel's club (and others that may wish to travel down the same road), there are two issues to consider.

The first is if and how a club can conduct business in between monthly meetings. The standard BetterInvesting partnership agreement simply states, "Periodic meetings shall be held as determined by the partnership."

That doesn't mean clubs must meet only once a month. You and your fellow club members are free to decide on whatever schedule all members agree to, whether it's once a month, twice a month, once every other month and so on.

This also doesn't preclude holding additional meetings outside the regular schedule. Most club bylaws allow for special meetings as called for by the president and/or officers, provided that sufficient notice is given to members.

These meetings could be called to deal with any business matter. But they're often related to a minor crisis in club operations or to address a pressing matter affecting the club portfolio.

All allowable communication methods for such meetings should also be clearly described in the club's operating documents. Examples of the specified methods could include written form, telephone, fax, mobile phone text messaging, online and email.

It's important to clearly detail how any such meetings can be called to prevent any intentional or accidental abuse of the provision and to allow all members the opportunity to attend or provide a proxy.

> "Special meetings are often related to a minor crisis in club operations or to address a pressing matter affecting the club portfolio."

What Is a Meeting?

This brings us to the second question: What actually constitutes a club "meeting?" I currently belong to an investment club that never meets in person. We're an online club and we hold our "meetings" via a designated four-day period once each month.

Since our members come from across the continental U.S., there's no convenient time that we could all attend a meeting held by conference call or online. All our business is conducted by email, but that's where any major difference between our club and a typical "living room" investment club ends.

We still discuss stocks, make and second motions and vote, all from our computers and iPads.

For clubs such as the Professional Women's Investment

Group that meet in person, there's no reason they couldn't adopt procedures to accommodate special meetings that would be conducted in person, online or by telephone in between regular meetings of the club. They just need to make sure their operating agreements allow for them. Some of the details that should be addressed would include the following:

- **1. Who can call a special meeting?** The president usually has the power to call a special meeting. You may also wish to allow for any two other officers to be able to do this.
- **2. What are the procedures and requirements members** must use to request that a special meeting be called? In Maryel's club, members may wish to limit actions to stocks that have been previously discussed. If desired, a club might also restrict actions to sales or purchases of stocks already owned by the club.
- **3. What are the allowable methods of calling a special meeting?** By email, in writing or via telephone? If enough members don't respond, will there be any follow-up — such as a phone call or second message?
- **4. How will attendance be taken**, a quorum determined and ballots tabulated for a meeting that's not held in a physical location? Not everyone checks email each day, and some people check email only at work or at home. So I'd caution against calling a special meeting and asking members to respond within a few hours or even before the next day.
- **5. For a meeting held by email**, what's the time frame and procedure in which motions are made and seconded, and how are votes to be returned to the secretary? I'd caution clubs not to get too caught up in investing strategies that require more attention than a routine monthly meeting can provide. And if your club seems to be holding "special meetings" regularly, perhaps you should simply move to a twice-monthly meeting schedule, one in-person and one online.

In any case, many clubs could benefit from some well-considered rules that would help them to agree on action in between regular meetings when conditions warrant.

Doug Gerlach Doug Gerlach is president of ICLUBcentral Inc. and editor-in-chief of its stock newsletters: the award-winning, market-beating Investor Advisory Service and the SmallCap Informer. He is the author of six books, including "Investment Clubs for Dummies" and "The Armchair Millionaire."

BETWEEN THE LINES

Continued from Page 35

An investor can adjust the payout ratio in this section to help determine what earnings can be expected from the income portion. Then combine the return from income with the anticipated stock appreciation to calculate the expected total return.

Outside of the SSGPlus, when I am trying to understand the long-term dividend capability of a company, I focus on the company's cash flow statement first and their balance sheet second. On the cash flow statement, I look at the cash flow from operations and compare it to dividends and the company's capital investment needs.

I expect a much higher cash flow versus their capital and dividend needs if a company is to grow its dividend over long time periods. On the balance sheet, I focus on financially strong companies.

The Between the Lines Summary

A growing dividend company can be a great long-term investment. It might not have the high dividend yield wanted sooner, but it could have a high yield over time. This is not a high yielding income strategy, rather another way to own proven, quality growth companies.

Consistently growing dividend stocks have performed well over time and should be considered as part of a growth portfolio. Historically, this type of an investment has been competitive with market returns and has typically outperformed during bear times and lagged a bit during the strong markets.

In addition, be wary of stocks that have a dividend cut or the potential for one, these are dangerous to growing one's wealth.

As I mentioned earlier: growing dividends are good for investors. Building a dividend growth portfolio could be a good idea to consider for investors looking to enjoy a steady cash flow later in life.

Websites of Interest

"The Case for Rising Dividends," Washington Crossing Advisors and Ned Davis Research; April 13, 2021
www.washingtoncrossingadvisors.com/commentary/041320/041320.pdf

Craig Braemer, CFA®, CFP® is an experienced financial manager with over 35 years in the financial services industry. He is currently a portfolio manager at Blossom Wealth Management LLC, a Registered Investment Adviser in Alamo, California.

He is also an active teacher for BetterInvesting at the national and local levels.

Oregon Investor Plans to Use Earnings to Aid Favorite Charities

Growing Native Plants and Profitable Investments

As told to Angele McQuade by Jim Culbert of McMinnville, Oregon.

A little about me: My wife, Kathleen, and I have three daughters. Kathleen and I moved to McMinnville, Oregon, in 2009 when I retired from a career in the USDA Forest Service after holding positions in New Mexico, Alaska, the Commonwealth of the Northern Mariana Islands, California and Washington, D.C. Now I play handbells in two church choirs, read, garden, travel, do genealogy and referee youth soccer. I also do lots of volunteer work.

Something I'm especially passionate about: promoting native plants in home gardens and also restoring native plant habitats, like the rare Kincaid's lupine in our area, which the rare Fender's blue butterfly relies on.

A few personal favorites: There's nothing better on a hot day than some Bassetts butter pecan ice cream. I also really enjoy historical fiction. My favorite —"Doomsday Book" by Connie Willis — is science fiction about historical researchers who time travel to the Black Plague era in Europe.

How I found BetterInvesting: I began investing with disposable income from my first professional position with the Forest Service in the early 1980s. I learned about NAIC/BI in 1982, when my wife and I helped form the Clearcut Investment Club of Ketchikan, Alaska, with a group of friends (it didn't last). I became an individual member in 1984, and recently Kathleen and I joined a long-running investment club here in McMinnville.

A few favorite investments: Our more successful include Liz Claiborne (bought right after its IPO in Jan. 1983, sold in 1993), and regional airline Comair Holdings (bought in 1984, sold in 1993). More recently, Axos Financial, Inc. (ticker: AX), up over 21% annually over six years; Jack Henry & Associates, Inc. (JKHY), up over 11% annually over 16 years; and Roper Technologies, Inc. (ROP), up over 10% annually over 14 years.

Investments I'd rather forget: On the advice of a member friend who was also an investment broker, our Ketchikan club invested in both real estate and oil and gas limited partnerships. They all declined, then were very difficult to dispose of. I also owned Enron when it collapsed.

What I appreciate most about BetterInvesting: Using BI's approach, our investments helped us afford to buy all of our homes since marrying. The gains from their sales increased each time, and our retirement home was purchased with cash from our home sale in Fairfax, Virginia.

Busily Retired. Jim Culbert is a former USDA Forest Service employee, a job that took him all over the nation, and now lives in McMinnville, Oregon, where he gardens, plays handbells and referees youth soccer.

How I plan to use my investment returns: We're able to live comfortably on my government pension, so our investments continue to appreciate. I look forward to making QCDs (qualified charitable distributions) from my traditional IRA (individual retirement account) to support organizations I favor. Our international travel was interrupted by the COVID-19 epidemic, but we're looking forward to a visit to Ireland, where my immigrant Culbert ancestor came from, and also hiking in Patagonia.

The question I'd ask others: Why do you want to submit information for a BI member profile?

My own answer: to demonstrate how using BI's approach over one's lifetime can result in financial security in retirement, as it certainly has for us.

Angele McQuade is the author of three books, including "Investment Clubs for Dummies" and BetterInvesting's upcoming new youth investing handbook. She lives near Bethesda, Maryland, where she also writes picture books and novels for children.

If you'd like to be featured in a future profile, please contact Angele through her website: www.angelemcquade.com.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the contributor in his portfolio.

1996-Vintage Group Still Has a Third of Original Members

Texas Club's Tradition: Parties in a Private Wine Room

by the ASSET Partners Investment Club of Houston

In the early fall of 1995 Sarah Savage and Coleen Webb of Houston were looking for something to do after retiring early from Compaq. Sarah had seen the Beardstown Ladies on TV and shared with Coleen. They purchased the newly published book "Beardstown Ladies Common-Sense Investment Guide." They decided to also get their friend Chris Miller to read the book and see what she thought. After meeting together several times and putting plans together, they decided on what to follow from the Beardstown Ladies' book.

Next, they generated a list of co-workers, friends, family, church members and book club members to find interested participants. Then they started putting together the first version of bylaws and meeting operations which mostly followed the book's outlines. A few modifications were made since most of this group would still be working.

The first meeting was in February 1996 where they reviewed everything and modified as recommended. They also recommended as first officers Coleen, Chris and Sarah since they were putting it together. A vote was held and the group of 20 became a club.

A remembrance from Lu Taylor as one of the lucky friends to be invited to join: "These computer people talked about a 'matrix,' which to me was 'a mass of fine-grained rock in which gems, crystals or fossils are embedded.' Lots of education awaited me!"

The next priority was a name for the group. Chris Miller came up with name ASSET Partners, which we adopted. The name stands for Association of Studious and Savvy Equity Traders. The name comes from our investment club's three priorities:

1. **Ongoing education;**
2. **Have fun;**
3. **Financial enrichment.**

Our first assignment was to read the Beardstown Ladies' book. Our individual experience levels with stocks ranged from "quite knowledgeable" to "haven't got a clue." But with our emphasis on education it didn't take long for everyone to get up to speed.

When we began, we were using the huge Value Line binders, which practically required a wagon to haul around. We couldn't wait to pass those off to the next stock selection committee. A few years later our resident IT gurus Kate Wilson and Sonya Weisser designed a spreadsheet for us. It incorporated our stock selection criteria that helped cut down on hand calculations, but it didn't get rid of the Value Line binders. All of that changed though with the growth of the internet and more and more access to online research. Also, BetterInvesting released its SSG/SSGPlus, which is a great asset.

ASSET Partners Investment Club. Back row: Sonya Weisser, Lu Taylor, Trish LePine and Sarah Dikeman. Middle row: Padma Kumashi, Jennifer Mohr, Doris Wright, Jan Fitts, Sharon Noake and Jeni Halliday. Seated: Barbara Robins and Diane Rager. Not pictured: Jennifer Wadsworth, JacquieBallesteros, Marsha Burns and Lindsey Duhon.

Since the club's inception our December meeting has always been a white elephant party. The December meeting started out in different member's homes and then we progressed to meeting in the wine room at Carmelo's. We celebrated by sharing a wonderful meal, great wine and an "all bets are off" white elephant gift exchange. (Now you know why they put us by ourselves in a wine room.)

In 2021 ASSET Partners celebrated its 25th year, which is a long time for an investment group. Even more amazing is that after 25 years we still have a third of our original members.

We were also honored in 2021 with a special recognition of 25 years of dedication to BetterInvesting principles of investing.

Each of our members, old and new, have greatly added to the success of ASSET Partners. Even when the market is down, we are still having fun while enjoying great food, wine and lots of laughter. Plus, our own version of a white elephant exchange continues to be the highlight of the year no matter where we gather.

Using This Section

In this section readers seeking to network with other long-term investors will find resources for information about programs in their communities. Meetings provide investment education for interested individuals of all ages and experience levels.

We've listed each BetterInvesting chapter along with the chapter's website, contact information and whether the chapter offers:

Upcoming Investors Fairs, Educational Fairs, annual meetings and other major events are listed at the end of this section.

For current details on any meeting, go to the relevant chapter's website.

We urge investors to contact the chapter for full details about any event and to learn of any changes in time or location.

The regional programs described in this section are the heart of BetterInvesting's educational effort. Some request a modest fee to defray costs, while others are free.

BetterInvesting's objective is to help people learn about long-term investing in an atmosphere in which they are free from pressure to buy anything.

CHAPTER CONTACTS

Contact your local chapter for details such as changes in time or location. You may also go to the BetterInvesting website at **www.betterinvesting.org** and visit **My Chapter**.

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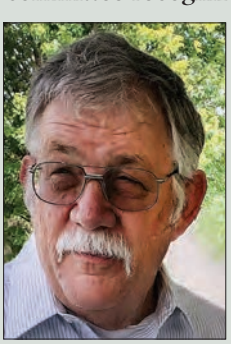
CONTINUED ON NEXT PAGE

2021 Thomas E. O'Hara Award for Chapter Service: OKI Tri-State Chapter's Mike Higgins

In 2005, after Mike Higgins retired from his aerospace engineering management job as a civilian employee of the U.S. Air Force, Jerry Sutton, then president of the OKI Tri-State Chapter of Ohio, invited Mike to attend a meeting of the Dayton Model Investment Club (DayMIC). Mike was soon presenting his own SSG reports. He became a DayMIC member in 2006 and still contributes currently as the educational chair.

Mike was next invited to attend an OKI Tri-State Chapter Board Meeting. Not long after, Mike joined the board as a teacher, presenting courses at OKI Edufest events. He became an associate director in 2009 and a full director in 2010. He was elected treasurer of the OKI Tri-State Chapter in 2013. He continued in this role until late 2019.

Mike began working with Visit-A-Club and is currently chairman of the OKI Outreach Committee. This committee recognizes BI clubs celebrating anniversaries and works to get more of their individual members to join BetterInvesting.



During the last six years, Mike has made numerous club visits and presentations with OKI President Gene Senter on subjects such as portfolio analysis, online tools and various data sources. He was also involved in the Group Anniversary Club visit that was held in Columbus in 2017 for all area clubs celebrating anniversaries that year.

He's also given well-received presentations, such as the 2020 OKI Spring Education Workshop.

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The **BetterInvesting™ Online Chapter** offers support both to individual members and clubs without a local chapter and to the public. The chapter's leadership provides a variety of high-quality programming and support.

The leadership of the **Online Chapter** is Bob Houle, president, president@online.betterinvesting.net; Susanne Koster, OLC Satellite Coordinator, satellite_coordinator@online.betterinvesting.net; Howard Johnson, Club Support/ Visit Coordinator, club_support@online.betterinvesting.net; Chris McCarron, Education Programs, education@online.betterinvesting.net.

Visit the **Online Chapter** at **www.betterinvesting.org/online**
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INVESTOR EVENTS

FLORIDA

South Florida
10 a.m. – 11 a.m., first Saturdays, continuing Nov. 5, Dec. 3, Jan. 7 and Feb. 4, online
Deep Dive 5-Part Series: Discounted Cash Flow Components. This interactive series examines in-depth each of the discounted cash flow components in the Preferred Procedure calculation of the SSG. Participants will learn how to refine revenue projections, expense projections, tax projections, as well as revenue, expense and tax projection in the capital structure, and how to compare the five-year free cash flow projections with the projected earnings. Presenter: Sofia Bitela, chapter volunteer and finance professional. Cost: free and open to all.
Registration and information:
www.betterinvesting.org/chapters/south-florida/local-events.
www.betterinvesting.org/southflorida

South Florida
7:30 p.m. – 8:30 p.m., first Tuesdays, Jan. 3, Feb. 7 and March 7, online
Deep Dive 3 — Equity Research Reports. This interactive series examines in depth each of the major types of equity research reports: economic, industry and company quarterly reports to inform and assist investors in analyzing stocks and arriving at judgments in the Stock Selection Guide (SSG) and the Stock Comparison Guide (SCG). Participants will learn how to use data and how to refine projections in the SSG. Time will be allowed for participants to share their ticker symbols of stocks for a live demonstration. Cost: free and open to all. Presenter: Sofia Bitela, chapter volunteer and finance professional.
Registration and information:
www.betterinvesting.org/chapters/south-florida/local-events.
www.betterinvesting.org/southflorida

OHIO

Northeast Ohio
Jan. 7, 10 a.m. – 11 a.m., online
Investment Strategies Before and After Retirement. Should your investment strategy change upon retirement? Learn from Gary Ball's proven model that he has used for 24 years with virtually no changes. It is practical and easy to implement. Gary has been an individual investor for 50 years. He has been affiliated with BetterInvesting since 1984; president of the Puget Sound Chapter for three years; and a national BIVA Board director for 10 years, retiring in 2017. Gary has mentored many of BI teachers. For 35 years, Gary has taught BI seminars in the northwest USA. He has been a speaker at the NAIC and BINC conventions for 26 years. Gary has been featured in "Smart Money," "Consumers Digest" and "Fortune" magazines. In 1998 he retired as manager of investor relations for Fluke Corporation, an electronics company in Everett, Washington, where he held various engineering management positions. He has served on the adjunct faculty at the University of Washington and taught investment classes in the business school.
Cost: $10. Contact. education_programs@neohio.betterinvesting.net.
Register though the website below.
www.betterintesting.org/neo

PENNSYLVANIA

Philadelphia
7:30 p.m. – 8:30 p.m., online
Fall Webinars:
Oct. 27: Bill Wagner — "Cryptocurrencies: the Good, the Bad and the Ugly"
Nov. 16: Gary Ball — "Investment Strategies Before and After Retirement"
Register at website below. Cost: free.
Contact: contact@philly.betterinvesting.net
www.betterinvesting.org/philly

Philadelphia
9 a.m. – 3 p.m., Nov. 19
Giant Food Store, 315 York Road
Willow Grove
Introduction to BetterInvesting's Stock Analysis: by Gloria Mankonen. Cost: $15.
For information and registration, contact: Gloria Mankonen, 215/796-1214 or contact@philly.betterinvesting.net.
See website below for additional information.
www.betterinvesting.org/philly

WASHINGTON

Puget Sound
Times vary, see below. Nov. 8-17, online
Puget Sound Chapter Investors Education Conference. Six classes over five days.
Tuesday, Nov. 8, 7 p.m. – 8 p.m. Stock Market Tactics in a Destabilized World. After a decade of prosperity, financial markets worldwide have experienced major shocks. Investors are grappling with a lingering global health crisis, military incursions, supply chain, and freight problems, and inflation, topped off by a bear market. In times of uncertainty like these, what are the savviest moves that investors can make? Instructor Doug Gerlach.

Thursday, Nov. 10, 7 p.m. – 8 p.m. Investment Strategies in Retirement. Should one's investment strategy change after retirement? Instructor Gary Ball will discuss a strategy for investing for retirement and follow up with a strategy for investing during retirement. He'll conclude with a proven retirement model that is practical and easy to implement. In fact, Gary has used the model for the past 24 years with virtually no changes.

Saturday, Nov. 12, 9 a.m. – 10 a.m. Taking the Mystery Out of the Preferred Procedure. Many BetterInvesting investors fear the Stock Selection Guide's "Preferred Procedure" as too hard or too "advanced." Instructor Cy Lynch takes the mystery out of this SSG tool, looking at the logic behind the process and breaking it down into easy-to-understand concepts. As a result, you'll better understand the company and can make better earnings per share (EPS) forecasts, a crucial part of the SSG.

Saturday, Nov. 12, 10:30 a.m. – 11:30 a.m. Gradual Retirement: A Smooth Transition to the Golden Years. Traditional retirement is often about reaching a certain age, hitting a wealth milestone, and switching from a busy work life to idle days. Instead of waiting that long and facing an abrupt lifestyle change, a gradual transition into retirement over a few years can be more rewarding and fulfilling. If you've been saving and investing diligently, you might already be well-positioned to do it sooner than you think. Instructor: Sanjib Saha.

Tuesday, Nov.15, 7 p.m. – 8 p.m. A Stodgy Banker Considers Bitcoin OR Know When to HODL, Know When to Fold 'Em. What is bitcoin and why it is being adopted by some people as money? Instructor Marshall Griffin will discuss the underlying value propositions of this alternative currency, its pros and cons, ownership trends and general considerations for investing in bitcoin.

Thursday, Nov. 17, 7 p.m. – 8 p.m. Optimizing Judgment Decisions Using SSGPlus. Instructor Carol Theine will share some resources and websites to help with this important SSG step, pointing out specific information that investors can use to make reasonable, informed decisions. Making judgment decisions s easier with the online Stock Selection Guide.

Cost: Donations per class welcome. See website below for link to registration. Call the event hotline for more information or email:
206/ 935-0861 or contact@puget.betterinvesting.net.
www.betterintesting.org/puget

Reviewing Stock to Study, Undervalued Selections

Dave & Buster's Entertainment, Inc.; Chevron Corporation

by Kevin Lamiman, Contributing Editor

STOCK TO STUDY

Dave & Buster's Entertainment, Inc.
Ticker: PLAY

Company description: Dave & Buster's Entertainment, Inc., owns nearly 100 domestic entertainment and dining establishments where customers can eat, drink, play games and watch televised sports. The play division, including amusement, simulation and video games, accounts for more than half of total revenue. Food and beverage accounts for the rest. About one- third of food and beverage revenue comes from alcoholic drinks.
Price at time of selection: $56.74
High price during past five years: $67.05
Closing price 5 years later: $41.57
Total return at 5-year price (including dividends): (26%)
S&P 500 5-year total return: 64.04%
Value Line long-term earnings growth estimate when featured: 19.5%.
Consensus long-term earnings growth estimate when featured: N.A.
Five-year sales growth rate: (7.6%)
Five-year EPS growth rate: (57.2%)
Five-year pretax profit on sales: 11.3%
Five-year return on equity: 39.5%
Comment: The company's perceived long-term growth potential and steadily rising same-store sales were among reasons for its selection. A share price pullback during a restaurant industry slump enhanced the attractiveness of its valuation. The five-year total return of (26.6%) was below the Stock to Study goal of doubling over that time span. At the five-year high of $67.05 on Oct. 1, 2018, the total return was 18.4%.

UNDERVALUED

Chevron Corporation
Ticker: CVX

Company description: Chevron is an integrated energy company with exploration, production and refining operations worldwide. It's the second-largest U.S.-based oil company with daily production of 3.1 million barrels of oil equivalent, including 7.7 million cubic feet of natural gas and 1.8 million BOE of liquids. Production occurs on every continent but Antarctica. Reserves at year-end 2021 stood at 11.3 billion BOE, including 6.1 billion BOE of liquids and 30.9 trillion c.f. of natural gas.
Price at time of selection: $103.59
High price during past 18 months: $182.40
Closing price 18 months later: $164.63
Total return at 18-month price (including dividends): 68.1%
S&P 500 18-month total return: 7.0%
Value Line long-term earnings growth estimate when featured: 8.0%.
Consensus long-term earnings growth estimate when featured: (4.2%)
Most recent quarter sales growth: 68.3%
Most recent quarter EPS growth: 347.2%
Comment: A strong balance sheet, acquisition of Noble Energy and a hefty dividend yield were some of the reasons for Chevron's selection. The total return of 66.6% exceeded the goal for an Undervalued Company — a 20% increase over 18 to 24 months. At the 18-month high of $182.40 on June 8, 2022, the total return was 84.5%.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recomended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer or contributors in a personal portfolio or those of their clients.

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